First Registrars & Investor Services Limited
Annual report and financial statements

for the year ended 31 December 2023

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Corporate information

Directors:	Mr. Sikiru Rufai	Chairman (Non-Executive)	*(Appointed 07 February 2023)*
	Dr. Bayo Olugbemi	Managing Director/CEO	
	Alhaji Mohammed Balarabe	Non-Executive Director	*(Appointed 07 February 2023)*
	Mrs. Foluke Oyeleye	Non-Executive Director	
	Mr. Obafolajimi Otudeko	Non-Executive Director	
Company secretary:	Mrs. Yewande Giwa No. 2, Abebe Village Road, Iganmu, Lagos		
Registered office:	No. 2, Abebe Village Road, Iganmu, Lagos		
Independent auditor:	PricewaterhouseCoopers Chartered Accountants Landmark Towers 5B Water Corporation Road Victoria Island, Lagos, Nigeria		
Company registration number:	RC-354935		
Principal bankers:	First Bank of Nigeria Limited Fidelity Bank Plc		

Chairman's report

I am glad to welcome you to the Year 2024 Annual General Meeting of our Company - First Registrars and Investor Services Limited. Our operating landscape is evolving and at a rapid pace too. Regulatory requirements are increasing, competition is becoming stiffer, and the general business environment is becoming a survival of the fittest. Nonetheless, amidst all of these challenges is a pool of opportunities that can be harnessed. I am pleased to report another year of good performance where we surpassed our budget.

Macro-economic environment

The Nigerian Economy has faced diverse economic policies in recent years especially since the present administration assumed office. The major policies being the FX policies for a unified, transparent, and flexible exchange rate to reduce inflation and achieve macroeconomic stabilization and the targeted cash transfers. On fiscal policy, budget planning for the next few years has been consistent with sustaining the fiscal savings from the subsidy reform and mobilizing more revenues. Inflation remains at record high levels for Nigeria. However, the reforms are yet to be completed to fully realize their economic benefits.

The National Bureau of Statistics published that 'Nigeria's Gross Domestic Product (GDP) grew by 2.51% in real terms in the second quarter of 2023 though the growth rate was lower than the 3.54% recorded in the second quarter of 2022. This they attributed to the challenging economic conditions being experienced. A breakdown of the figure showed that the performance of the GDP in the second quarter of 2023 was driven mainly by the Services sector, which recorded a growth of 4.42% and contributed 58.42% to the aggregate GDP.
The agriculture sector grew by 1.50%, an improvement from the growth of 1.20% recorded in the second quarter of 2022. The industry sector growth index was -1.94% relative to -2.30% recorded in the second quarter of 2022.

In terms of share to the GDP, agriculture, and the industry sectors contributed less to the aggregate GDP in the second quarter of 2023 compared to the second quarter of 2022. This gave explanations to the high rate of hardship, scarcity of food, and unemployment that was experienced in the year under review. Industry Experts opined however, that taking eyes of the figures, whatever successes could have been achieved were quickly rubbished by the free fall of the naira against the dollar which positioned the Naira as one of the world's worst-performing currency in the league of the Argentine peso and the Lebanese pound among the 151 currencies tracked by Bloomberg.

Registrars industry

The Share Registration business in Nigeria has been resilient, surviving many attempts of unfriendly regulatory moves and extra-industry competition from other Capital Market Operators (CMOs) making incursion efforts to erode the business base. The registrar business as a key segment of the highly regulated capital market sector, is faced with several headwinds that include heightened regulatory and compliance pressure, stressed business model and strategies, end-to-end digitization and high concentration risks. These headwinds necessitated First Registrars and Investor Services Limited (FRISL) to realign its 3 Year Strategic Plan to reflect its future ambitions of diversification into allied (Company Secretarial Services, Probates Services, Advanced KYC Services) and non-related business such as the Rental Business.

FRIS Strategy Plan details how FRISL will explore opportunities in other sectors of the economy to enhance survival, profitability and growth.

Financial results

Despite all odds, our financial performance surpassed our budget for the year under review. The profit (PBT) for the year stood at ₦72,480,000 (Seventy Two Million, Four Hundred and Eighty Thousand Naira Only) for the year 2023 compared to the loss (LBT) of ₦257,693,000 (Two Hundred and Fifty Seven Million, Six Hundred and Ninety Three Thousand Naira Only) and a loss after tax (LAT) of ₦265,188,000 (Two Hundred and Sixty Five Million, One Hundred and Eighty eight Thousand Naira Only) recorded in 2022.

Chairman's report

Our strategy

It is indeed good news that we have obtained the Board ratification of our long awaited 3 Year Strategic Plan 2024-2026. I am also excited to announce that implementation has commenced in earnest. The focal areas of our Strategy are Income Diversification, Deepening existing business, Digital Transformation and People Management. To ensure seamless execution of our strategy, we have also embarked on an overhaul of our organizational structure and also set up a dedicated Corporate Planning and Strategy department to see to the monitoring of our strategic initiatives and ensure effective implementation in alignment with our corporate goals.

Conclusion

We have every reason to be hopeful and optimistic that the years ahead will be better than the previous. First Registrars and the Nation in general are on a new trajectory. No doubt we may experience some teething challenges along the way but I strongly believe that with perseverance, dedication and a highly motivated workforce, we will all see the light at the end of the tunnel.

We must also ensure we are not complacent but rather continue to pride ourselves in innovation and service excellence at all times.

On behalf of the Board and Management, I thank you for your continued support for our company, First Registrars and Investor Services Limited.

Thank you.

Sikiru Rufai
Chairman

Managing director's report

Dear Esteemed Shareholders,

I am glad to present to you our Financial Year (FY) Reports for the year 2023. The Reports itemize and detail very explicitly the Financial Statements of Accounts and a review of our operational activities for the year under review.

The Global Economy

Year 2023 was yet another extraordinary year in many distinct ways amidst the global and local economic challenges faced by countries like the UK, Japan, Ireland and Finland going into technical recession in the fourth quarter of the year resulting from a contraction in their projected GDPs. Although, global GDP was projected to grow at 2.9% in 2023 according to the Organization for Economic Cooperation and Development and subsequently followed by a slowdown to 2.7% in 2024 and a slight improvement to 3% in 2025. However, the U.S. economy grew 3.1% over the past year as reported by its Commerce Department driven largely by a resilient labor market supported by strong consumer spending.

Also, on the demand for oil, after a steep decline experienced as a result of COVID-19, oil demand increased to pre-pandemic levels in 2023 to remain at 103 million barrels per day presenting another good opportunity for Nigeria.

Macro-Economic Environment

The current administration is doing its very best to improve on the economy with various economic policies both at the macro and micro level. Key economic reform policies were made for Nigeria to avoid a fiscal cliff and the government also took some commendable steps by providing temporary compensation to help the poorest and most vulnerable households. In May and June 2023, the government undertook two critical policy decisions, which have resulted in price and exchange rate adjustments in the second half of the year. Targeted cash transfers are helping to cushion the adjustment to higher gasoline prices. On FX policy, progress has been made on implementing the policy for a unified, transparent, and flexible exchange rate.

On fiscal policy, budget planning for the next several years is consistent with sustaining the fiscal savings from the subsidy reform and mobilizing more revenues. Inflation remains at record high levels for Nigeria. However, the reforms are yet to be completed to fully realize their economic benefits. The near-term priority is to enhance the reform effort with a closely coordinated mix of fiscal, monetary, and FX policies to reduce inflation and achieve macroeconomic stabilization. The economic outlook for Nigeria in the short to medium term hinges on the continuation and effectiveness of its macroeconomic stabilization agenda. Successful implementation of the initiated reforms will be the first step toward improving Nigeria's growth prospects. With implementation of these first macroeconomic stabilization reforms, the economy is expected to grow at an average annual rate of 3.5% during 2023–2026, or 0.5 of a percentage point higher than in a scenario in which the reforms had not been implemented.

The growing and most challenging macroeconomic factors that we faced were and are still spurred by inflation-related effects ignited by the cost of purchasing raw materials, cost of production, and in our case, cost of operations, unfavorable policies, and stifling interest rates.

The Capital Market

Despite the chronicles of challenges, The Nigerian Capital Market in 2023 surprisingly stayed afloat inspite of the turbulent tides when compared to the struggles of the Nigerian Money Market. The resilience witnessed in the sector contributed to another impressive performance where the Nigerian stocks closed the year ended 2023 with market gains of 46.6% or ₦13 trillion. Financial Experts adjudged that the market value of equities improved by almost half when compared with that of 2022. This is perhaps one of the strongest threads that hold the entirety of the Nigerian Financial, market together.

Managing director's report

Available Statistics showed that the total value of the 155 equities at the end of trade stood at ₦40.9 trillion. It was found that the change of government in May sparked a couple of market-friendly reforms that boosted share prices and drove the benchmark equity index to its all-time high of 74.773.77 basis points at year-end 2023. The Nigerian stock market experienced an improved performance in 2023 compared to the previous year specifically in the area of nominal price appreciation. The year opened with a scorecard of 51,251.06 points which sparked an exceptional year on the NGX with a growth rate of 45.90%. In the aspect of market capitalization, there was a significant appreciation of ₦148 billion, with the year closing at ₦40. 92 trillion.

A significant factor for the year 2023 stock market success was as a result of increased money supply, which reached ₦65 trillion as of September 2023. Analysts opined this also drove investment in the sector due to the highly liquid nature of stock market trading. The banking sector experienced significant rallies, particularly benefiting from gains linked to the devaluation of the exchange rate. The Banking All-Share Index impressively returned 114.9%. Penny stocks, referred to as growth stocks on the NGX, also saw substantial gains, dominating the top 50 gainers chart.

Capital Market Life-Savers in 2023

Key events that occurred in the Nigerian Capital Market in the period under review included firstly, the launch of the Nigerian Capital Market Masterplan (CMMP). The need to align the aims, objectives, metrics, and targets to current realities, and factor in the market's dynamism, and advancements in financial technology necessitated a review and an update to the CMMP. The Revised Capital Market Master Plan is anticipated to serve as the capital market's strategy for the years to come.

The second life saver was the unification of exchange rates by the Federal Government which though carries serious implications and sacrifices in some aspects, offers some positive effects on the capital market. The unification increased the Federal Government's revenue compared to the previous exchange rate. Though under the money market financials, critics will argue that the positive effects of this policy are yet to yield as much result as they were predicted to bring presently, be it as it may, the Capital Market was the better for it.

Other life-saving catalysts of the capital market in 2023 included the Launch of IFRS S1 and S2 Sustainability Disclosure Standards in Nigeria by the FRC, ISSB, and NGX Regulation Limited. The two ISSB Standards, IFRS S1 & S2, were introduced by the Financial Reporting Council (FRC) of Nigeria, the International Sustainability Standards Board (ISSB), and Nigeria Exchange Group Regulation Limited (NGX Reg). The introduction of the disclosure standard was crucial for the development of the Capital Market because it triggered Nigerian businesses to participate in a worldwide standard for reporting sustainability. Key among the life-saving techniques put in place were the avenues created to unlock Capital Market Liquidity.

With the notable changes and results experienced, it is expected and envisaged that the Capital Market will consistently wade through the waters in 2024 albeit with a sense of cautious optimism among investors and analysts. While the NGX's performance in 2023 showcases the resilience and potential of Nigerian equities, challenges such as inflation, currency volatility, and security issues remain key factors that could influence market trends in the upcoming year negatively. It is predicted that banking stocks will most likely face pressure due to a surge in fundraising activities. Banks are expected to bolster their share capital, potentially necessitating capital raises amounting to hundreds of billions.

The Share Registration Industry

Since the Nigerian Exchange Group witnessed remarkable growth and resilience in 2023, and share registration services play a pivotal role in ensuring the smooth functioning of the sector, it is, therefore, an established fact that events in the Capital Market will trickle down into the operations, success, or otherwise of the Share Registration Industry. It is a clear case of a Pea in its pod.

Managing director's report

At a similar event in 2022, I talked about the need for a radical shift towards digitalization where I posited that it was indeed imperative for the share registration industry to key into this race by leveraging advanced technologies such as enterprise resource solutions and artificial intelligence to enhance efficiency, transparency, and security in managing shareholder records. In 2023, we witnessed a keen race amongst industry competitors to digitize their operational processes in ways that would enhance service delivery and their bottom line directly and indirectly. A simple analogy of the corporate responsibility that is required of the Share registration sub-sector in the Capital Market is that while the Capital Market attracts investors, the Share Registration companies must keep the records, access to and use of the records process sane using sophisticated methods, and tools. This is necessary to continue to attract and sustain investments.

The significant improvement in the capital market also culminated in the dogged pursuance of the improvements witnessed in the share registration sub-sector especially as it concerns digital transformation, digital collaborations between industry stakeholders as well as on business growth and market expansion factors.

Though there is still a lot to be done, the events of 2023 has further confirmed that the share registration industry must jointly and independently safeguard its frontiers by staying ahead of the race for digitization and digital collaboration amongst the sector can present a formidable front that the other allied sectors will have to align with not erode.

Regulatory developments supported the share registration sector tremendously in 2023. Hitherto outdated, rigid, and classic rules and regulations gave way to modern, flexible, and dynamic ones that enhanced the development and digitization process. The Securities and Exchange Commission (SEC) introduced and enforced policies aimed at promoting corporate governance, protecting investors, and ensuring the integrity of the capital market. As a result, Share Registrars were able to stay abreast of these regulatory changes to ensure compliance and maintain the trust of market participants. However the eggshells have only been cracked, we must continue to innovate both operationally and digitally as a way of life to fit into a digitized economy as it is obtainable globally.

Key Highlights of 2023

Financial Performance

Despite all odds, our financial performance surpassed our budget for the year under review. The profit (PBT) for the year stood at ₦72,480,000 (Seventy Two Million, Four Hundred and Eighty Thousand Naira Only) for the year 2023 compared to the loss (LBT) of ₦257,693,000 (Two Hundred and Fifty Seven Million, Six Hundred and Ninety Three Thousand Naira Only) and a loss after tax (LAT) of ₦265,188,000 (Two Hundred and Sixty Five Million, One Hundred and Eighty eight Thousand Naira Only) recorded in 2022.

Business Improvement Initiatives

Recently, the Company's business/strategic plan 2023-2026 was approved and its implementation has commenced. The business and especially the Capital Market Registrars industry is ever evolving hence we must continue to keep up with the new trends that will ensure that First Registrars not only survives but flourish in the midst of the various challenges.

Year 2023 was more to us a year of planning and evolving ahead for the future. We accelerated he completion of our 3 Year Strategic Plan 2024-2026. Also because the People element of our Plan is very vital, we also embarked on a Staff Competency Framework and Matrix with the sole objective of identifying the competencies of all staff to determine where they skills can be better utilized within the organization. The competency assessment also helped us to identify training gaps and needs and to guide in our training plan subsequently. The business also took a major step as a fallout of the competency assessment to redesign and implement a new organizational structure that reflects our strategic intents and goals as an organization.

Managing director's report

Overall Business Goals and Strategic Pillars

CLE

CLE is our major drive towards income diversification and a significant effort has been invested into this initiative in alignment with our strategic pillar of digital transformation. Cle Digital Solution launches First Registrars into the digital space and its flagship product in this regard is the Clé Cooperative Solution. A dedicated team is being recruited to bring the vision to live. Although, the Business Manager and the Technology Lead have been recruited.

Deepening the Core Business

One of our key Strategic Pillars is to deepen our existing business through a number of initiatives that will reposition and strengthen our core business. While pursing new horizons, we will ensure we continue to grow our existing business to ensure it remains profitable.

The FRISOps project plan digital architectural design was achieved and completed in 2023 which is aimed at digitizing the entire operations of Share Registrations as it concerns our organization under one platform to enable us offer dynamic and sophisticated client/shareholder services, manage our costs effectively, create revenue-making opportunities, and collaborate effectively with other allied industry partners while leading the pack.

Income Diversification

The Management also took a bold step in our income diversification drive to expand into allied and non-related income generating ventures such as the Company Secretarial and Probates Services, Revamped KYC Services and Rental Business. It is good to mention that our Rental Services Business has gained a significant traction since its introduction to the market.

Mandates Won

As we continue on the drive to grow our core business organically, our company won 9 new mandates in 2023 as against 3 new mandates that were won in 2022.

The 2024 Outlook

Generally, 2023 was a year of mixed feelings and mixed experiences however we are thankful that above all and beyond our encounter with turbulences, we remain steadfast regardless of the hurdles, challenges, bruises, and struggles.

Nevertheless, according to the 2024 Budget of 'Renewed Hope,' as proposed by current Administration, a total expenditure of ₦27.5 trillion with a projected revenue of ₦18.32 trillion and a deficit of ₦9.18 trillion is proposed and envisaged. To achieve the projected revenue, the Federal government estimates Oil revenue at ₦7.68 trillion, Government Owned Enterprises are expected to contribute ₦4.07 trillion, non-oil taxes are projected to be ₦3.52 trillion, independent revenue is set at ₦1.91 trillion, minerals and mining will account for ₦4.55 billion, while other revenue sources will bring in ₦1.13 trillion. The expenditure breakdown comprises a non-debt recurrent expenditure of N9.92 trillion, a capital expenditure of ₦7.72 trillion (exclusive of transfers), Debt service will take up ₦8.25 trillion, a statutory transfer of ₦1.37 trillion, and a sinking fund of ₦243.66 billion.

A peek into Q1, 2024 has revealed some signals already of a gradual, not a swift relief of what we are going through and may still go through as a nation, an industry, or as a people. The policies of the current government are not quick fixes, they are to correct the shortfalls of previous policies. In light of this, we believe that with some of the initiatives in our strategic plan, First Registrars will continue to be going concern.

Managing director's report

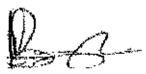
Conclusion

I really do hope that our resilience and determination to succeed will continue to stir our organization into greater heights and with our strategic foresight and planning, we will always wade through the dark murky waters to protect and safeguard our frontiers, our existence, our name, our mission and our vision. Nevertheless, this may not be without a lot of acrobatic business maneuverings and dodgings.

While we expect gradual but consistent traction in realigning our strategies, we are certain and assured that with the necessary attention, resilience, and doggedness, our strategic initiatives will yield very significant success rates especially as it relates to our bottom line, our client, our customer service quality, our growth prospects, market share, leadership positioning, and our competitive advantage.

To the Management and entire Staff, we will keep rowing the boat with renewed vigor; the sky will only be the beginning as we soar higher and higher.

Yours sincerely,



Dr. Bayo Olugbemi
Managing Director/CEO

Report of the directors

The directors present their annual report on the affairs of First Registrars & Investor Services Limited ("the Company"), together with the financial statements and auditor's report for the year ended 31 December 2023.

(a) Legal form

The Company was incorporated as a private limited liability Company on 19 May 1999 and was registered by the Securities and Exchange Commission Nigeria on 27 January 2000 to operate as a registrar in Nigeria.

(b) Principal activities

The Company is principally engaged in the registration of shares and share transfers of client companies as well as administration of bonds and mutual funds.

(c) Results and dividends

(i) Results

The Company's results for the year ended are set out on page 20. The profit or loss for the year has been transferred to retained earnings. The summarised results are presented below:

	31-Dec-23 ₦'000	31-Dec-22 ₦'000
Revenue	269,825	421,646
Profit/(loss) before tax	72,479	(257,693)
Income tax	(17,044)	(7,495)
Profit/(loss) for the year	55,436	(265,188)
Total comprehensive income/(loss) for the year	1,536,035	(868,850)

(ii) Dividend

No dividend was declared by the board of directors and paid to shareholders during the year (2022: payment of ₦271 million).

(d) Operating result

The profit for the year before taxation was ₦72.5 million (2022: loss of ₦257.7 million).

(e) Corporate Governance

The Company is committed to the best practices and procedures in corporate governance. Its business is conducted in a fair, honest and transparent manner which conforms to the Code of Best Practices on corporate governance in Nigeria. Examples of the Company's compliance with these corporate governance' requirements during the year under review are as follows:

i. Board composition

   The Board consists of a Non-executive Chairman (1), one (1) Executive director and three (3) Non-executive directors, all bringing high levels of competence and expertise to bear on the business. They are professionals and entrepreneurs with vast business management experience and credible track records.

ii. Role of the Board

   The Board has the responsibility for ensuring that the Company is appropriately managed and achieves its strategic objectives with the aim of creating sustainable long term value to the shareholders.

iii. Record of directors' attendance at meetings

   Members of the board of directors held periodic meetings to decide on policy matters, direct the affairs of the Company, review its operations and finances and formulate growth strategy. Board agendas and reports are provided ahead of meetings.

   Further to the provision of Section 235(1) of the Companies and Allied Matters Act (CAMA 2020), the records of the directors' attendance at board meetings during the year under review are available at the Company's corporate head office for inspection. Furthermore, and in line with Corporate Governance principles, details of attendance of the current directors at the board meetings during the year are as follows:

Report of the directors

Names of directors	Number of meetings held in 2023	Number of meetings attended in 2023
Mr. Sikiru Rufai	4	3
Mr. Bayo Olugbemi	4	4
Alhaji Mohammed Balarabe	4	3
Mrs. Foluke Oyeleye	4	4
Obafolajimi Otudeko	4	4

Mr. Sikiru Rufai and Alhaji Mohammed Balarabe did not attend the Q1 meeting because they were not yet on the Board.

iii. Record of directors' attendance at meetings (cont'd)

The Board Meetings were held during the year as follows: 14 February 2023, 11 May 2023, 22 August 2023 and 09 November 2023.

(f) Directors' shareholding

As at 31 December 2023, two directors had indirect shareholding in the Company (see note(h)).

(g) Directors' interests in contracts

For the purpose of section 303 of the Companies and Allied Matters Act, none of the directors had direct or indirect interest in contracts or proposed contracts with the Company during the year.

(h) Shareholding analysis

The shareholding analysis of the Company as at 31 December for 2023 and 2022 are as follows:

	31-Dec-23		31-Dec-22	
Names of shareholders	**No. of Shareholdings**	**%**	**No. of Shareholdings**	**%**
Archavia Limited	375,000,000	75.00%	375,000,000	75.00%
BSQ Asset Management Limited*	50,000,000	10.00%	50,000,000	10.00%
First Registrars Staff Trust	50,000,000	10.00%	50,000,000	10.00%
OHO Investment Limited	12,500,000	2.50%	12,500,000	2.50%
Obuchi Ltd	2,000,000	0.40%	2,000,000	0.40%
Mr. Kehinde Lawanson	2,000,000	0.40%	2,000,000	0.40%
Alh. Borodo Tijani Mohammed	2,000,000	0.40%	2,000,000	0.40%
Alh. Faruk	2,000,000	0.40%	2,000,000	0.40%
Chief Timothy Adesiyan	2,000,000	0.40%	2,000,000	0.40%
Others	2,500,000	0.50%	2,500,000	0.50%
Total	500,000,000	100%	500,000,000	100%

*The shareholding of BSQ Asset Management Limited represents indirect shareholding of a director (Mr. Bayo Olugbemi) in the Company.

(i) Property and equipment

Information relating to changes in property and equipment is given in note 17 to the financial statements. In the directors' opinion, the market value of the Company's property and equipment is not less than the value shown in the financial statements.

(j) Future developments

The Company intends to carry on fulfilling its objectives as stated in its Memorandum of Association.

Report of the directors

(k) Charitable contributions and other donations

The Company made no contribution to charitable organisations or political associations during the year (2022: nil).

(l) Human resources

i. Employment of disabled persons

The Company does not discriminate in considering applications for employment including those from disabled persons. All employers are given equal opportunities to develop their knowledge and skills within the organization. As at 31 December 2023, there were, however, no disabled persons in the Company's employment.

(l) Human resources (cont'd)

ii. Health, safety and welfare at work

Health and safety regulations are in force within the premises of the Company. Fire prevention and fire-fighting equipment are installed in strategic locations within the Company's premises. The Company operates both Group Personal Accident and the Workmen's Compensation Insurance cover for the benefit of its employees. It also operates a contributory pension scheme in line with the Pension Reform Act as well as a terminal gratuity scheme for its employees.

iii. Employees' consultation and training

It is the Company's policy to equip all employees with the skills and knowledge required for the successful performance of their jobs. We therefore see the investment in our people as a major part of our strategic development and have maintained a consistent policy of training our staff both locally and internationally to enhance their skills and competence. This is complemented by on-the-job training.

iv. Diversity in employment

The Company is committed to conducting business in a positive, professional manner by consistently ensuring equal employment opportunities. The average number of employees of the Company during the year by gender and level is as follows:

a. Employees

	Gender			Gender	
	Male	Female	Total	Male	Female
	Number			Percentage (%)	
Employees	64	40	104	62	38

b. Board and top management staff

	Gender			Gender	
	Male	Female	Total	Male	Female
	Number			Percentage (%)	
Board members (Executive and Non-executive)	4	1	5	80	20
Top management (PM - GM)	7	-	7	100	-

(m) Statement of Compliance with the Nigerian Code of Corporate Governance

A summary of First Registrars' level of compliance with the Nigerian Code of Corporate Governance is detailed below:

Report of the directors

PART	APPLICATION
Part A: Board of Directors & Officers of the Board	• The Board consists of a non-Executive Chairman, 3 non-Executive Directors and an Executive Director, supported by an experienced and competent Company Secretary.
	• A Board Diversity Policy has been developed to ensure that the Board remains sensitive to the need for diversity in all forms including gender, age and experience
	• The Board has established a Nominations, Governance & Remuneration Committee and an Audit, Risk Management & Investment Committee all of which are governed by robust charters.
	• Training and induction of Directors is governed by the Board's Director Development Policy. During the year under review, Board members' training was facilitated by the Institute of Directors Nigeria.
	• The Board is guided by its Appointment Policy in making appointments to the Board. The policy sets out the criteria for Board appointments and provides for the extensive screening and vetting of potential Directors. Upon appointment, new Directors are mandated to undergo an induction programme.
	• The robust Board Remuneration Policy provides a framework for the remuneration of Executive and Non-Executive Directors, to enable the Company remunerate fairly, responsibly and transparently.
Part B: Assurance	• A robust Enterprise Risk Management framework for monitoring business risks is in the final stages of approval.
	• A whistle-blowing framework has long been established and has been communicated to stakeholders.
	• The Company has an effective Internal Audit function which provides assurance to the Board on the effectiveness of the Company's governance, internal control & governance systems.
Part C: Relationships with Shareholders	• A Stakeholder Management, Engagement & Communication Policy has been developed to enable and encourage stakeholders to engage with the Company.
Part D: Business Conduct with Ethics	• Several policies have been developed to demonstrate the Company's commitment to ethical business conduct. They include: - Conflict of interest & related party transactions policy - Anti-bribery & corruption policy
Part E: Sustainability	• An experienced consultant has been engaged to develop the Company's sustainability agenda.
Part F: Transparency	• Material information is disclosed to stakeholders through the appropriate channels

Report of the directors

(m) Events after the end of the reporting period

There are no events after the reporting period which could have had a material effect on the financial position of the Company as at 31 December, 2023 and profit attributable to equity holders on that date.

(n) Independent auditors

Messrs. PricewaterhouseCoopers Nigeria, having satisfied the relevant corporate governance rules on their tenure in office have indicated their willingness to continue in office as auditors to the Company, in accordance with section 401 (2) of the Companies and Allied Matters Act (CAMA 2020) of Nigeria.

By order of the Board

Mrs. Yewande Giwa
Company Secretary
FRC/2014/NBA/00000009078
28 March 2024

Statement of directors' responsibilities
For the year ended 31 December 2023

The Companies and Allied Matters Act (CAMA 2020) requires the directors to prepare financial statements for each financial year that give a true and fair view of the state of financial affairs of the Company at the end of the year and of its profit or loss. The responsibilities of the directors include:

a) ensuring that the Company keeps proper accounting records that disclose, with reasonable accuracy, the financial position of the Company and comply with the requirements of the Companies and Allied Matters Act (CAMA 2020) and with the Financial Reporting Council of Nigeria Act.

b) designing, implementing and maintaining internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error; and

c) preparing the Company's financial statements using suitable accounting policies supported by reasonable and prudent judgements and estimates, that are consistently applied.

The directors accept responsibility for the presentation and fair presentation of these financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgments and estimates, in compliance with International Financial Reporting Standards, the requirements of the Companies and Allied Matters Act (CAMA 2020) and the Financial Reporting Council of Nigeria Act.

The directors are of the opinion that the financial statements gives a true and fair view of the state of the financial affairs of the Company and of its profit or loss. The directors further accept responsibility for the maintenance of accounting records that may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the Company will not remain a going concern for at least twelve months from the date of this statement.

Mr. Sikiru Rufai
Chairman
FRC/2014/ICAN/00000009888

28 March 2024

Dr. Bayo Olugbemi
Managing Director/CEO
FRC/2013/CIBN/00000004541

28 March 2024

Corporate responsibilities for financial statements as at 31 December 2023

Further to the provisions of section 405 of the Companies and Allied Matters Act (CAMA 2020), we the Managing Director and the Chief Financial Officer of First Registrars & Investor Services Limited (the Company) hereby certify as follows:

Financial Information

i. The audited financial statements do not contain any untrue statement of material fact or omit to state a material fact, which would make the statements misleading.

ii. The audited financial statements and all other financial information included in the statements fairly present, in all material respects, the financial condition and results of operation of the Company as of and for the period ended 31 December 2023.

Effective Internal Controls

i. Effective internal controls have been designed to ensure that material information relating to the Company are made known by the relevant staff, particularly during the period in which the audited financial statement report is being prepared.

ii. The effectiveness of the Company's internal controls have been evaluated within 90 days prior to 31 December 2023.

iii. The Company's Internal Controls are effective as at 31 December 2023.

Disclosures

i. There were no significant deficiencies in the design or operation of internal controls which could adversely affect the Company's ability to record, process, summarize and report financial data.
Furthermore, there were no identified material weaknesses in the Company Internal Control systems.

ii. There were no fraud events involving Senior Management or other employees who have a significant role in the Company's internal control.

iii. There were no significant changes in internal controls or in other factors that could significantly affect internal controls.

Signed by:

....	....
Chief Financial Officer	Managing Director/CEO
FRC/2013/ICAN/00000004353	FRC/2013/CIBN/00000004541
28 March 2024	28 March 2024

Independent auditor's report

To the Members of First Registrars & Investor Services Limited

Report on the audit of the financial statements

Our opinion

In our opinion, First Registrars & Investor Services Limited's ("the Company's") financial statements give a true and fair view of the financial position of the Company as at 31 December 2023, and of its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Companies and Allied Matters Act and the Financial Reporting Council of Nigeria (Amendment) Act, 2023.

What we have audited

First Registrars & Investor Services Limited's financial statements comprise:

- the statement of financial position as at 31 December 2023;
- the statement of profit or loss and other comprehensive income for the year then ended;
- the statement of changes in equity for the year then ended;
- the statement of cash flows for the year then ended; and
- the notes to the financial statements, which include a summary of material accounting policies.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the financial statements* section of our report.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We are independent of the Company in accordance with the International Code of Ethics for Professional Accountants (including International Independence Standards), i.e., the IESBA Code issued by the International Ethics Standards Board for Accountants. We have fulfilled our other ethical responsibilities in accordance with the IESBA Code.

Other information

The directors are responsible for the other information. The other information comprises the Corporate information, Chairman's report, Managing Director's report, Report of the directors, Corporate responsibilities for financial statements, Value added statement and Five-year financial summary, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express an audit opinion or any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the directors and those charged with governance for the financial statements

The directors are responsible for the preparation of the financial statements that give a true and fair view in accordance with International Financial Reporting Standards and the requirements of the Companies and Allied Matters Act, the Financial Reporting Council of Nigeria (Amendment) Act, 2023, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Report on other legal and regulatory requirements

The Companies and Allied Matters Act requires that in carrying out our audit we consider and report to you on the following matters. We confirm that:

i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;

ii) the Company has kept proper books of account, so far as appears from our examination of those books and returns adequate for our audit have been received from locations not visited by us;

iii) the Company's statement of financial position and statement of profit or loss and other comprehensive income are in agreement with the books of account and returns.

Obioma Ubah

INSTITUTE OF CHARTERED ACCOUNTANTS OF NIGERIA
ICAN
0565013

For: **PricewaterhouseCoopers**
Chartered Accountants
Lagos, Nigeria

28 March 2024

Engagement Partner: Obioma Ubah
FRC/2013/PRO/ICAN/004/00000002002

Statement of financial position
As at 31 December 2023

	Notes	31-Dec-23 ₦'000	31-Dec-22 ₦'000
Assets			
Cash and bank balances	11	578,196	1,923,077
Placements with financial institutions	12	3,183,548	3,897,685
Loans and other receivables	13	606,387	647,968
Investment securities	14	4,972,979	5,465,797
Other assets	15	642,974	546,986
Intangible assets	16	36,208	38,170
Property and equipment	17	2,418,735	2,078,166
Right-of-use assets	18 (a)	13,615	20,227
Asset held for sale	19	556,264	548,764
Retirement benefit assets	25	467,046	467,046
Deferred tax asset	24	14,393	14,393
Total assets		**13,490,346**	**15,648,279**
Liabilities			
Funds awaiting remittance	20	6,769,677	9,231,797
Lease liabilities	18 (b)	7,569	6,351
Other liabilities	21	504,437	1,765,300
Provision	22	1,068,520	1,020,818
Income tax liability	23.1	327,715	347,620
Total liabilities		**8,677,918**	**12,371,886**
Equity			
Share capital	26	500,000	500,000
Fair value reserve	27	2,380,729	900,130
Retained earnings	27	1,931,699	1,876,263
Total shareholders' equity		**4,812,428**	**3,276,393**
Total liabilities and shareholders' equity		**13,490,346**	**15,648,279**

These financial statements were approved by the Board of Directors on 28 March 2024 and signed on its behalf by:

Mr. Sikiru Rufai
Chairman
FRC/2014/ICAN/00000009888

Dr. Bayo Olugbemi
Managing Director/CEO
FRC/2013/CIBN/00000004541

Mr. Ezekiel Oni
Chief Financial Officer
FRC/2013/ICAN/00000004353

The accompanying notes are an integral part of these financial statements.

Statement of profit or loss and other comprehensive income
For the year ended 31 December 2023

	Notes	31-Dec-23 ₦'000	31-Dec-22 ₦'000
Revenue from contracts with customers	5	269,825	421,646
Net impairment on financial assets	6	33,298	33,093
Net income after impairment on financial assets		303,123	454,739
Other income	7	1,031,253	405,657
Operating expenses	8	(2,067,423)	(1,869,062)
Operating loss		(733,047)	(1,008,665)
Interest income	9	806,744	752,923
Interest expenses	10	(1,218)	(1,950)
Profit/(loss) before tax		72,479	(257,693)
Taxation	23	(17,044)	(7,495)
Profit/(loss) for the year		**55,436**	**(265,188)**
Other comprehensive loss:			
Items that will not be reclassified subsequently to profit or loss:			
Re-measurements of defined benefit obligations	25 (a & b)	-	-
Fair value gain/(loss) on FVOCI investment securities	27	1,480,599	(603,662)
		1,480,599	(603,662)
Other comprehensive loss for the year net of tax		1,480,599	(603,662)
Total comprehensive loss for the year		**1,536,035**	**(868,850)**
Earnings/(loss) per share - basic & diluted (Naira)	28	0.11	(0.53)

The statement of accounting policies and accompanying notes form an integral part of these financial statements.

Statement of changes in equity
For the year ended 31 December 2023

	Attributable to equity holders of the Company			
	Share capital **₦'000**	**Fair value reserve** **₦'000**	**Retained earnings** **₦'000**	**Total equity** **₦'000**
Balance at 1 January 2022	500,000	1,503,791	2,412,147	4,415,939
Total comprehensive income/(loss):				
Profit for the year	-	-	(265,188)	(265,188)
Fair value loss on FVOCI investment securities	-	(603,662)	-	(603,662)
Total comprehensive income/(loss) for the year	-	(603,662)	(265,188)	(868,850)
Transaction with owners:				
Dividend paid to equity holders	-	-	(270,695)	(270,695)
Balance at 31 December 2022	**500,000**	**900,130**	**1,876,263**	**3,276,393**
Balance at 1 January 2023	500,000	900,130	1,876,263	3,276,393
Total comprehensive income/ (loss):				
Profit for the year	-	-	55,436	55,436
Fair value gain on FVOCI investment securities	-	1,480,599	-	1,480,599
Total comprehensive loss for the year	-	1,480,599	55,436	1,536,034
Transaction with owners:				
Dividend paid to equity holders	-	-	-	-
Balance at 31 December 2023	**500,000**	**2,380,729**	**1,931,699**	**4,812,428**

Statement of cash flows
For the year ended 31 December 2023

	Notes	31-Dec-23 ₦'000	31-Dec-22 ₦'000
Cash flows from operating activities			
Profit/(loss) before tax		72,479	(257,693)
Adjustments for:			
Revenue from contracts with customers	5	(269,825)	(421,646)
Dividend income	7	(232,182)	(110,187)
Impairment write-back on financial assets	6	(33,298)	(33,093)
Provision on litigation	8.2	47,702	47,702
Gain on disposal of financial asset	8	(540,776)	-
Gain on disposal of property and equipment	7	-	(1,600)
Amortization- intangible assets	8	24,637	13,538
Depreciation - property and equipment	8	149,473	93,457
Depreciation - right-of-use asset	8	6,612	11,237
Interest income	9	(806,743)	(752,922)
Interest expenses	10	1,218	1,950
Foreign exchange losses	8	735	782
Changes in working capital:			
Decrease/(increase) in loans and other receivable		51,773	60,211
Increase in other assets		(118,390)	(44,622)
Increase in funds awaiting remittance		(2,462,856)	(1,138,780)
Increase/(decrease) in other liabilities		(1,260,863)	20,270
Cash used in operating activities		(5,370,304)	(2,511,394)
Fee received		302,308	426,191
Tax paid		(36,949)	(45,243)
Net cash used in operating activities		(5,104,945)	(2,130,446)
Cash flows from investing activities			
Proceeds from sale/redemption of investment securities		1,430,652	(45,836)
Purchase of investment securities		(677,227)	(666,889)
Purchase of intangible assets	16	(22,675)	(5,614)
Purchase of property and equipment	17	(490,686)	(223,664)
Proceeds on disposal of property plant and equipment		645	1,600
Dividend received		232,182	110,187
Interest received		2,572,075	1,558,148
Net cash generated from investing activities		3,044,966	727,931
Cash flows from financing activities			
Dividend paid		-	(270,695)
Lease payments	18	-	(11,860)
Net cash used in financing activities		-	(282,555)
Net increase/(decrease) in cash and cash equivalents		(2,059,980)	(1,685,070)
Cash and cash equivalents at start of year		5,820,762	7,505,392
Effect on currency translation on cash and cash equivalent	7	961	440
Cash and cash equivalents at end of the year	11.1	3,761,744	5,820,762

Notes to the financial statements

1 General information

Reporting Entity

First Registrars & Investor Services Limited (hereinafter called "the Company") was incorporated as First Registrars Nigeria Limited on 19 May 1999. It obtained a license to provide registrar's services from the Securities and Exchange Commission and commenced business operation on 1 April 2000.

The Company is established to provide share administration and custodian services. This includes administration and maintenance of companies share registers, share registration, verification of share transfers, transmission and payment of dividends and organisation of annual general meetings.

The Company is a private company incorporated and domiciled in Nigeria. The address of its registered office is No 2, Abebe Village Road, Iganmu, Lagos.

The financial statements were approved and authorised for issue by the Board of Directors on 28 March 2024. The directors have the power to amend and reissue the financial statements.

2 Summary of material accounting policies

2.1 Introduction to summary of significant accounting policies

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

2.2 Basis of preparation and statement of compliance

a) Statement of compliance

The annual financial statements for the year ended 31 December 2023 have been prepared in accordance with International Financial Reporting Standard (IFRS). Selected explanatory notes (notes 3 - 33) are included to explain events and transactions that are significant to an understanding of the changes in financial position and performance of the Company since the last financial statements as at and for the year ended 31 December 2023. The financial statements comply with IFRS as issued by the International Accounting Standards Board (IASB). These annual financial statements comply with the Companies and Allied Matters Act, 2020 and the Financial Reporting Council of Nigeria Act.

The financial statements comprise the statement of profit or loss and other comprehensive income, the statement of financial position, the statement of changes in equity, the statement of cash flows and the notes to the financial statements.

b) Basis of measurement

The annual financial statements have been prepared on the historical cost basis except for the following material items in the statement of financial position:

• financial assets measured at fair value through other comprehensive income

The Company applies accrual accounting for recognition of its income and expenses. Historical cost is generally based on the fair value of the consideration given in exchange for assets or liabilities assumed on initial recognition.

The annual financial statements were authorised for issue by the directors on 28 March 2024.

The financial statements are presented in thousands of Nigerian Naira (₦'000).

The preparation of financial statements in conformity with IFRS requires the use of certain critical accounting estimates. It also requires management to exercise judgement in the process of applying the Company's accounting policies. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the financial statements, are disclosed in Note 4.

2.2.1 Going concern

The financial statements have been prepared on a going concern basis. Nothing has come to the attention of the directors to indicate that the Company will not remain a going concern for at least twelve months from the date of these financial statements.

2.3 Changes in accounting policies and disclosures

The accounting policies are consistent with those reported in the previous year except as required in terms of the adoption of the following amendments effective for the current year:
This appendix provides a summary of (a) new standards and amendments that are effective for the first time for periods commencing on 1 January 2023 (i.e. year ended 31 December 2023) and (b) forthcoming requirements, being standards and amendments that will become effective after 1 January 2023.

2.3.1 New, amended standards and interpretations

a New standards and amendments - applicable 1 January 2023.

Title	Key Requirements	Effective date
IFRS Insurance Contracts	IFRS 17 was issued in May 2017 as replacement for IFRS 4 Insurance Contracts. It requires a current measurement model, where estimates are re-measured each reporting year.Contracts are measured using the building blocks of: 1. discounted probability-weighted cash flows. 2. an explicit risk adjustment, and 3. a contractual service margin ("CSM") representing the unearned profit of the contract which is recognize as revenue over the coverage year. The standard allows a choice between recognizing changes in discount rates either in the income statement or directly in other comprehensive income statement or directly in other comprehensive income. The choice is likely to reflect how insurers account for their financial assets under IFRS 9. An optional, simplified premium allocation approach is permitted for the liability for the remaining coverage for short duration contracts, which are often written by non-life insurers. There is a modification of the general measurement model called the 'variable fee approach' for certain contracts written by life insurers where policyholders share in the returns from underlying items. When applying the variable fee approach the entity's share of the fair value changes of the underlying items is included in the contractual service margin. The results of insurers using this model are therefore likely to be less volatile than under the general model. The new rules will affect the financial statements and key performance indicators of all entities that issue insurance contracts or investment contracts with discretionary participation features. The amendments have no material impact on the Company's financial statements.	1/1/2023
Amendment to IFRS 17 and Initial Application of IFRS 17 and IFRS 9	The amendment is a transition option relating to comparative information about financial assets presented on initial application of IFRS 17.The objective of this amendment is to help entities increase the usefulness of comparative information presented on initial application of IFRS 17 and IFRS 9 Financial Instruments. The amendments have no material impact on the company's financial statements.	1/1/2023

Classification Liabilities as Current or Non-Current - Amendments to IAS 1	The narrow-scope amendments to IAS 1 Presentation of Financial Statements clarify that liabilities are classified as either current or non-current, depending on the rights that exist at the end of the reporting period. Classification is unaffected by the expectations of the entity or events after the reporting date (e.g. the receipt of a waiver or a breach of covenant). The amendments also clarify what IAS 1 means when it refers to the 'settlement' of a liability. The amendments could affect the classification of liabilities, particularly for entities that previously considered management's intentions to determine classification and for some liabilities that can be converted into equity. They must be applied retrospectively in accordance with the normal requirements in IAS 8 Accounting Policies, Changes in Accounting Estimates and Errors. In May 2020, the IASB issued an Exposure Draft proposing to defer the effective date of the amendments to 1 January 2023.	1/1/2023
Disclosure of Accounting Policies Amendments to IAS 1 and IFRS Practice Statement 2	The IASB amended IAS 1 to require entities to disclose their material rather than their significant accounting policies. The amendments define what is material accounting policy information and explain how to identify when accounting policy Policies Amendments to IAS 1 information is material. They further clarify that immaterial accounting policy information does not need to be disclosed. If it is and IFRS Practice Statement disclosed, it should not obscure material accounting information. To support this amendment, the IASB also amended IFRS Practice Statement 2 Making Materiality Judgements to provide guidance on how to apply the concept of materiality to accounting policy disclosures.	1/1/2023
Definition of Accounting Estimates - Amendments to IAS 8	The amendment to IAS 8 Accounting Policies, Changes in Accounting Estimates and Errors clarifies how companies should distinguish changes in accounting policies from changes in accounting estimates. The distinction is important, because changes in accounting estimates are applied prospectively to future transactions and other future events, whereas changes in accounting policies are generally applied retrospectively to past transactions and other past events as well as the current period.	1/1/2023
International Tax Reform Pillar Two Model Rules, which amended IAS 12 Income Taxes.	The proposed amendments aim to provide temporary relief from accounting for deferred taxes arising from the imminent implementation of the Pillar Two model rules published by the Organisation for Economic Co-operation and Development May 2023 with Rules, which amended IAS 12 (OECD). The amendments would introduce; a temporary exception to the accounting for deferred taxes arising from the immediate implementation of the rules and targeted disclosure requirements for affected companies. The financials was not affected by the amendments.	Issued on 23 May 2023 with immediate effectiveness.

International Tax Reform Pillar Two Model Rules (Amendments to the IFRS for SME's Standard)	The proposed amendments would: Introduce a temporary exception to the requirements to recognise deferred tax assets and Issued on 29 liabilities related to Pillar Two income taxes; and to disclose information that would otherwise be required by paragraphs September 29.39-29.41 of the IFRS for SMEs Standard about deferred tax assets and liabilities related to Pillar Two income taxes. Also introduce targeted disclosure requirements for affected SMEs in periods and when Pillar Two Legislation is in effect; and clarify that "other events" in the disclosure objective in Paragraph 29.38 of the standard include enacted or substantively enacted Pillar Two legislation.	Issued on 29 Septemeber 2023 with immediate effectiveness.
Deferred Tax related to Assets and Liabilities arising from a Single Transaction - Amendments to IAS 12	The amendments to IAS 12 Income Taxes require companies to recognise deferred tax on transactions that, on initial recognition, give rise to equal amounts of taxable and deductible temporary differences. They will typically apply to transactions such as leases of lessees and decommissioning obligations, and will require the recognition of additional deferred tax assets and liabilities. The amendment should be applied to transactions that occur on or after the beginning of the earliest comparative period presented. In addition, entities should recognise deferred tax assets (to the extent that it is probable that they can be utilised)| and deferred tax liabilities at the beginning of the earliest comparative period for all deductible and taxable temporary differences associated with: . right-of-use assets and lease liabilities, and . decommissioning, restoration and similar liabilities, and the corresponding amounts recognised as part of the cost of the related assets. The cumulative effect of recognising these adjustments is recognised in retained earnings, or another component of equity, as appropriate. IAS 12 did not previously address how to account for the tax effects of on-balance sheet leases and similar transactions and various approaches were considered acceptable. Some entities may have already accounted for such transactions consistent with the new requirements. These entities will not be affected by the amendments.	1/1/2023

b New standards and interpretations effective for the period beginning after 1 January 2023 and earlier application is permitted; however, the company has not early adopted the new or amended standards in preparing these financial statements. The new standards will be adopted on effective date.

IFRS 10 and IAS 28 Sale or Contribution of Assets between an Investor and its Associate or Joint Venture (amendments)	The amendments address an inconsistency between the requirements in IFRS 10 and those in IAS 28, in dealing with the sale or contribution of assets between an investor and its associate or joint venture. The main consequence of the amendments is that a full gain or loss is recognised when a transaction involves a business (whether it is housed in a subsidiary or not). A partial gain or loss is recognised when a transaction involves assets that do not constitute a business, even if these assets are housed in a subsidiary. The amendments will be applied prospectively and are not expected to have a material impact on the company's financial statements.	Deferred indefinitely

Notes to the financial statements

Non-current Liabilities with Covenants (Amendments to IAS 1)	This standard seek to clarify how conditions with which an entity must comply within twelve months after the reporting period affect the classification of a liability. The amendment will be applied retrospectively and is not expected to have a material impact on the company.	1/1/2024
Lease Liability in a Sale and Leaseback (Amendments to IFRS 16)	The amendment clarifies how a seller-lessee subsequently measures sale and leaseback transactions that satisfy the requirements in IFRS 15 to be accounted for as a sale. The amendment will be applied retrospectively. The impact on the financial statements has not yet been fully determined.	1/1/2024
Amendment to IAS 7 and IFRS 17 (Supplier Finance Agreements)	The amendments introduce new disclosures relating to supplier finance arrangements that assist users of the financial statements to assess the effects of these arrangements on an entity's liabilities and cash flows and on an entity's exposure to liquidity risk. The amendments have no material impact on the company's financial statements.	1/1/2024
Amendment to IAS 21 (Lack of Exchangebility)	The amendments require disclosure of information that enables users of financial statements to understand the impact of a currency not being exchangeable. The amendment will be applied retrospectively. The impact on the financial statements has not yet been fully determined.	1/1/2025
IFRS S1 General Requirements for Disclosure of Sustainability-related Financial Information and IFRS 2 Climate-related Disclosure (Climste Standard)	The standard (IFRS S1) requires disclose of information about all sustainability-related risks and opportunities that could reasonably be expected to affect the entity's cash flows, its access to finance or cost of capital over the short, medium or long term (collectively referred to as 'sustainability-related risks and opportunities that could reasonably be expected to affect the entity's prospects"). IFRS S2 requires to disclose information about climate-related risks and opportunities that could reasonably be expected to affect the entity's cash flows, its access to finance or cost of capital over the short, medium or long term (collectively referred to as 'climate-related risks and opportunities that could reasonably be expected to affect the entity's prospects'). The impact on the financial statements has not yet been fully determined.	1/1/2024
Initial Application of IFRS 17 and IFRS 9 - Comparative Information (Amendments to IFRS 17)	The amendment is aimed at helping entities to avoid temporary accounting mismatches between financial assets and insurance contract liabilities, and therefore improve the usefulness of comparative information for users of financial statements.	Available on first application of IFRS 17

2.4 Foreign currency transactions

a) *Functional and presentation currency*

Items included in the financial statements of the Company are measured using the currency of the primary economic environment in which the entity operates ('the functional currency'). The functional currency and presentation currency of the Company is the Nigerian Naira (₦).

b) *Transactions and balances*

Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of foreign currency transactions and from the translation at exchange rates of monetary assets and liabilities denominated in currencies other than the Company's functional currency are recognized in profit or loss. Monetary items denominated in foreign currency are translated using the closing rate as at the reporting date.

Non-monetary items measured at historical cost denominated in a foreign currency are translated using the exchange rate as at the date of initial recognition; non-monetary items in a foreign currency that are measured at fair value are translated using the exchange rates at the date when the fair value was determined. The gain or loss arising on translation of monetary items measured at fair value is treated in line with the recognition of gain or loss on the change in fair value of the item (i.e. translation differences on items whose fair value is recognised in profit or loss or other comprehensive income are also recognised in profit or loss or other comprehensive income respectively).

2.5 Financial instruments

Recognition and derecognition

Financial instruments are recognised initially when the Company becomes a party to the contractual provisions of the instrument.

Regular-way purchases and sales of financial assets are recognised on settlement date which is the date on which the Company parts with or receives economic resources for the purchase or sale of the asset. Financial assets are derecognised when the rights to receive cash flows from the financial assets have expired or have been transferred and the Company has transferred substantially all the risks and rewards of ownership.

Financial assets that are transferred to a third party but do not qualify for derecognition are presented in the statement of financial position as pledged assets, if the transferee has the right to sell or repledge them.

Derecognition of a financial liability occurs only when the obligation is extinguished. A financial liability is said to be extinguished when the obligation is discharged, cancelled or expired.

Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount is reported in the statement of financial position if, and only if, there is a currently enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liabilities simultaneously. Income and expense will not be offset in profit or loss unless required or permitted by any accounting standard or interpretation, as specifically disclosed in the accounting policies

2.5.1 Financial assets

a) Classification

The Company's financial assets include cash and short term deposits, loans and other receivables, other assets, quoted equity instruments, treasury bills and bonds. The Company classifies its financial assets in the following categories:
- Amortised cost,
- Fair value through other comprehensive income (FVOCI), and
- Fair value through profit or loss (FVPL).

Classification of debt instruments

Management classifies its financial assets into any of the asset categories above on the basis of both:
- The Company's business model for managing the financial assets.
- The contractual cash flows characteristics of the financial assets.

1. Business model assessment

The business model assessment is one of the two steps to classify financial assets. The business model assessment of the Company's financial instruments is performed at a level that reflects how groups of financial assets are managed together to achieve a particular business objective.

Judgment is needed to determine the level of aggregation to which the business model assessment is applied. That determination is made on the basis of how the Company manages its business, it is not made at the level of an individual asset, rather the Company performs this assessment at a higher level of aggregation which is at a portfolio level.

If cash flows are realised in a way that is different from the Company's expectations at the date that the Company assessed the business model (for example, if the Company sells more or fewer financial assets than it expected when it classified the assets), this does not:

- give rise to a prior period error in the Company's financial statements (as defined in IAS 8 Accounting policies, changes in accounting estimates and errors),

- change the classification of the remaining financial assets held in that business model (i.e., those assets that the Company recognised in prior periods and still holds), as long as the Company has considered all relevant information that was available at the time that it made the business model assessment.

However, when the Company assesses the business model for newly originated or newly purchased financial assets, it considers information about how cash flows were realised in the past, along with all other relevant information. Where there was a change in the way that cash flows are realised, then this will affect the classification of new assets recognised in the future.

Hold-to-collect business model

Where the Company's objective is to hold the asset (or portfolio of assets) to collect the contractual cashflows, the asset (or portfolio of assets) are classified under the 'hold to collect' business model. Financial assets that are held within this business model are measured at amortised cost (provided the asset also meets the contractual cash flow test – see below). Such assets are managed to realise cash flows by collecting contractual payments over the life of the instrument.

In determining whether cash flows are going to be realised by collecting the financial assets' contractual cash flows, the Company considers the frequency and value of sales in prior periods, the timing of the sale of assets, the reasons for those sales, and the Company's expectations about future sales activity.

In accordance with IFRS 9, sales in themselves do not determine the business model and cannot be considered in isolation. However, information about past sales and expectations about future sales provide evidence related to how the Company's stated objective for managing the financial assets is achieved and, specifically, how cash flows are realised.

Hold-to-collect (contractual cash flows) and sell

Where the Company's objective is to hold a group of financial assets to collect the contractual cashflows and then to sell those financial assets, the portfolio of assets are classified under the 'hold to collect and sell' business model. The FVOCI measurement category is mandatory for portfolios of financial assets that are held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets (provided the asset also meets the contractual cash flow test).

Collecting contractual cash flows and selling are fundamental to achieving the objective of the business model.

Compared to the business model with an objective to hold financial assets to collect contractual cash flows, this business model will typically involve greater frequency and value of sales. This is because selling financial assets is integral to achieving the business model's objective rather than only incidental to it. There is no threshold for the frequency or value of sales that can or must occur in this business model.

Other business models

IFRS 9 requires financial assets to be measured at fair value through profit or loss (FVTPL) if they are not held within either a business model whose objective is to hold assets to collect contractual cash flows or within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets.

A business model that results in measurement at FVTPL is where the financial assets are held for trading or where the assets are managed on a fair value basis. In each case, the Company manages the financial assets with the objective of realising cash flows through the sale of the assets. The Company makes decisions based on the assets' fair values and manages the assets to realise those fair values.

2. The contractual cash flows assessment – the Solely Payments of Principal and Interest (SPPI) test

This assessment aims to identify whether the contractual cash flows are solely payments of principal and interest on the principal amount outstanding.

The SPPI test is based on the premise that it is only when the variability in the contractual cash flows arises to maintain the holder's return in line with a 'basic lending arrangement' that the application of the effective interest method provides useful information about the uncertainty, timing and amount of the financial asset's contractual cashflows.

The effective interest method is essentially to spread interest revenue or expense over time. Amortised cost or FVOCI measurement is only appropriate for simple cash flows that have low variability such as those of loans and receivables and debt securities.

b) Subsequent measurement

The subsequent measurement of financial assets depends on their classification as follows:

i) Amortised cost

Financial instruments are measured at amortised cost, using the effective interest rate method.

The amortised cost of a financial asset or financial liability is the amount at which the financial asset or liability is measured at initial recognition minus principal repayments, plus or minus the cumulative amortisation of any difference between that initial amount and the maturity amount, and for financial assets, adjusted for any impairment allowance.

Notes to the financial statements

The impairment loss is reported as a deduction from the carrying value of the loan (using an allowance account) and recognised in profit or loss as 'impairment charge on financial assets'.

Effective interest rate method

The effective interest method is a method used in calculating the amortised cost of a financial asset or financial liability and in the allocation and recognition of the interest income or expense in profit or loss over the relevant period.

The effective interest method differs from the straight-line method in that the amortisation under the effective interest method reflects a constant return on the carrying amount of the asset or the liability. The effective interest rate is the rate that exactly discounts the estimated future cash payments or receipts, over the expected life of the financial instrument to the gross carrying amount of a financial asset or to the amortised cost of a financial liability. It is the internal rate of return of the financial asset or liability for that period.

ii) *Fair value through other comprehensive income*

For the Company's *investment in debt instruments* measured at FVOCI, all movements in fair value should be taken through other comprehensive income except for the recognition of impairment losses, interest revenue in line with the effective interest rate method, foreign exchange gains and losses arising on derecognition of the asset which are recognised in the profit or loss.

Therefore, fair value changes will be split in the interest income on an effective interest basis (which are posted to profit or loss) and fair value gains or losses (which are posted to other comprehensive income).

All equity investments held by the Company are required to be measured at fair value through profit or loss. However, the Company can make the irrevocable election to present in other comprehensive income changes in the fair value of an investment in an equity instrument that is not held for trading. Where the Company elects the irrevocable option, amounts presented in other comprehensive income shall not be subsequently transferred to profit or loss. Nevertheless, the Company may transfer the cumulative gain or loss within equity. Dividends on such equity instruments are recognised in profit or loss in 'Dividend income' when the Company's right to receive payment is established.

iii) *Fair value through profit or loss*

These assets and liabilities are measured at fair value, with the unrealised gains and losses arising from changes in fair included directly in profit or loss and are reported as 'Net gains/ (losses) on financial instruments classified as held for trading'.

The carrying value of trading positions in financial instruments includes accrued interest. Fair value changes recognised through profit or loss in the statement of comprehensive income on such instruments includes items such as interest and dividends, if related to those trading positions.

c) Impairment of financial assets

The Company assesses on a forward looking basis, the expected credit losses ("ECL") associated with its debt instruments carried at amortised cost and FVOCI.

No impairment is recognised on equity investments. This is because the fair value changes would incorporate impairment gains or losses, if any.

i. General approach

Under the general approach, at each reporting date, the Company recognises a loss allowance based on either 12-month ECLs or lifetime ECLs, depending on whether there has been a significant increase in credit risk on the financial instrument since initial recognition. The changes in the loss allowance balance are recognised in profit or loss as an impairment gain or loss. The general approach is applied on financial assets other than trade receivables.

The amount of ECLs recognised as a loss allowance or provision depends on the extent of credit deterioration since initial recognition. Under the general approach, there are two measurement bases:

- 12-month ECLs (Stage 1), which applies to all items (from initial recognition) as long as there is no significant deterioration in credit quality.

- Lifetime ECLs (Stages 2 and 3), which applies when a significant increase in credit risk has occurred on an individual or collective basis or when a loan becomes credit impaired respectively.

Staging

Stage 1: On origination, a financial asset (provided that it is not a purchased or originated credit impaired asset) will be in stage 1 of the general model for expected credit losses. Financial assets that have not had a significant increase in credit risk since initial recognition or that (upon assessment and option selected by the Company) have low credit risk at the reporting date remain in stage 1.

For these assets, 12-month expected credit losses ('ECL') are recognised and interest revenue is calculated on the gross carrying amount of the asset (that is, without deduction for credit allowance). 12-month ECL are the ECL that result from default events that are possible within 12 months after the reporting date. It is not the expected cash shortfalls over the 12-month period but the entire credit loss on an asset, weighted by the probability that the loss will occur in the next 12 months.

Stage 2: Financial instruments that have had a significant increase in credit risk since initial recognition (unless they have low credit risk at the reporting date and this option is taken by the Company) but that do not have objective evidence of impairment. For these assets, lifetime ECL are recognised and interest revenue is still calculated on the gross carrying amount of the asset.
Lifetime ECL are the ECL that result from all possible default events over the maximum contractual period during which the Company is exposed to credit risk. ECL are the weighted average credit losses, with the respective risks of a default occurring as the weights.

The Company, when determining whether the credit risk on a financial instrument has increased significantly, considers reasonable and supportable (both historical and forward-looking) information available, in order to compare the risk of a default occurring at the reporting date with the risk of a default occurring at initial recognition of the financial instrument.

Stage 3: This includes financial assets that have objective evidence of impairment at the reporting date. For these assets, lifetime ECLs are recognised and interest revenue is calculated on the net carrying amount (that is, net of credit allowance). This is done by applying the EIR in subsequent reporting periods to the amortised cost of the financial asset.

When the Company has no reasonable expectations of recovering the financial asset, then the gross carrying amount of the financial asset can be directly reduced in its entirety via a write off. A write-off constitutes a derecognition event.

ii. Simplified approach

The simplified approach does not require the Company to track the changes in credit risk, but, instead, requires the Company to recognise a loss allowance based on lifetime ECLs at each reporting date, right from origination.

The Company recognizes lifetime ECLs at each reporting period for trade receivables or other receivables that result from transactions within the scope of IFRS 15 and that do not contain a significant financing component.

Measurement of expected credit losses

The standard defines credit loss as the difference between all contractual cash flows that are due to the Company in accordance with the contract and all the cash flows that the Company expects to receive (i.e., all cash shortfalls), discounted at the original EIR.

ECLs are a probability-weighted estimate of credit losses over the expected life of the financial instrument (i.e., the weighted average of credit losses with the respective risks of a default occurring as the weights).

When measuring ECLs, in order to derive an unbiased and probability-weighted amount, the Company evaluates a range of possible outcomes. This involves identifying possible scenarios that specify:

a. The amount and timing of the cash flows for particular outcomes.
b. The estimated probability of these outcomes.

Risk inputs for expected credit losses calculation

Expected credit losses are determined by multiplying the following risk inputs:

a. Probability of default (PD): The PD is the risk that the borrower will be unable or unwilling to repay its debt in full or on time. The risk of default is derived by analysing the obligor's capacity to repay the debt in accordance with contractual terms. PD is generally associated with financial characteristics such as inadequate cash flow to service debt, declining revenues or operating margins, high leverage, declining or marginal liquidity, and the inability to successfully implement a business plan.

b. Loss given default (LGD): The LGD is the credit loss incurred if an obligor defaults and is dependent on the characteristics of the loan. Losses are influenced by the presence of collateral and when no collateral exists the cash flows that the borrower pays after default determine the LGD of the loan.

c. Exposure at default (EAD): The EAD estimates the percentage of exposure the Company might lose if the borrower defaults.

Probability of default (PD)

i) ***12 Month PDs***

12 month PD is the probability of a loan defaulting within the next 12 months. 12-month PD estimates are required to calculate 12-month ECLs for accounts classified as Stage 1. These PD estimates also form the basis of the lifetime PD curves, which are required to calculate lifetime ECLs for accounts classified as Stage 2.

ii) ***Lifetime PDs***

Lifetime PD curves are required to calculate expected credit losses for Stage 2 accounts. Ideally, lifetime PD curves should be developed based on internal default data. However, the Company does not have sufficient history of internal default data to build credible curves so it has derived lifetime PD curves using S & P's "2018 Annual Sovereign Default Study and Rating Transition".

Loss given default (LGD)

LGD is the share of an asset that is lost when a borrower defaults. The recovery rate is defined as 1 minus the LGD, the share of an asset that is recovered when a borrower defaults. Loss given default is facility-specific because such losses are generally understood to be influenced by key transaction characteristics such as the presence of collateral and the degree of subordination.

Exposure at default (EAD)

EAD is equal to the current amount outstanding at the expected point of default in case of fixed exposures like staff loans and investment securities. This is derived using the original carrying amount, interest rate and tenor of the facility.

2.5.2 Financial liabilities

The Company's financial liabilities include: accrued expenses, trade and other payables (classified as other liabilities).

After initial recognition, financial liabilities are subsequently measured at amortized cost using the effective interest rate method. Gains and losses are recognized in the statement of profit or loss when the liabilities are derecognized as well as through the effective interest rate method (EIR) amortization process. Amortized cost is calculated by taking into account any discount or premium on acquisition and fee or costs that are an integral part of the effective interest rate. The effective interest rate amortization is included in finance cost in profit or loss.

2.5.3 Fair value of financial instruments

A number of the Company's accounting policies and disclosures require the determination of fair value, for both financial and non-financial assets and liabilities. Fair values have been determined for measurement and/or disclosure purposes based on the following methods. Where applicable, further information about the assumptions made in determining fair values is disclosed in the notes specific to that asset or liability.

When measuring the fair value of an asset or a liability, the Company uses observable data as far as possible. Fair values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows:

Level 1: Quoted market price in an active market for an identical instrument.

Level 2: Valuation techniques based on observable inputs either directly- i.e. as prices or indirectly- i.e. derived from prices. This category includes instruments valued using: quoted market prices in active markets for similar instruments; quoted prices for similar instruments in markets that are considered less than active; or other valuation techniques where all significant inputs are directly or indirectly observable from market data.

Level 3: This includes financial instruments, the valuation of which incorporate significant inputs for the asset or liability that is not based on observable market date (unobservable inputs). Unobservable inputs are those not readily available in an active market due to market illiquidity or complexity of the product. These inputs are generally determined based on inputs of a similar nature, historic observations on the level of the input or analytical techniques.

The Company recognises transfers between levels of fair value hierarchy at the end of the reporting period during which the change has occurred.

2.6 Cash and cash equivalents

Cash and cash equivalents comprise cash at bank and in hand, short-term deposits and Treasury bills with an original maturity of three months or less in the statement of financial position which are subject to insignificant risk of changes in their fair value, and are used by the Company in the management of its short-term commitments.

For the purpose of the cash flow, cash and cash equivalents consist of cash and cash equivalents as defined above, net of outstanding bank overdrafts.

2.7 Intangible assets

Intangible assets acquired separately are measured on initial recognition at cost. The cost of intangible assets acquired in a business combination is their fair value as at the date of acquisition. Following initial recognition, intangible assets are carried at cost less any accumulated amortization and any accumulated impairment losses. Internally generated intangible assets, excluding capitalized development costs, are not capitalized and such expenditure is reflected in profit or loss in the year in which the expenditure is incurred.

The useful lives of intangible assets are assessed to be either finite or indefinite. The Company does not have an intangible asset with an indefinite useful life.

Intangible assets with finite lives are amortized over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortization period and the amortization method for an intangible asset with a finite useful life are reviewed at least at each financial year end.

Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are accounted for by changing the amortization period or method, as appropriate, and are treated as changes in accounting estimates. The amortization expense on intangible assets with finite lives is recognized in the statement of profit or loss in the expense category consistent with the function of the intangible asset.

The Company's intangible assets consist of computer software & coop solutions with a useful life of 3 years.

Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount and are recognised in statement of profit or loss.

2.8 Property and equipment

Property and equipment, including owner-occupied property, is stated at cost, excluding the costs of day-to-day servicing, less accumulated depreciation and accumulated impairment losses. Replacement or major inspection costs are capitalized when incurred and if it is probable that future economic benefits associated with the item will flow to the entity and the cost of the item can be measured reliably.

When parts of an item of property or equipment have different useful lives, they are accounted for as separate items (major components) of property and equipment.

Depreciation is provided on a straight line basis over the useful lives of the following classes of assets:

Asset class	Period
Leasehold land	Over the unexpired lease term
Buildings	50 years
Motor vehicles	4 years
Furniture & fittings	5 years
Office equipment	5 years
Computer equipment	3 years

The assets' residual values, and useful lives and method of depreciation are reviewed and adjusted, if appropriate, at each financial year end.

Impairment reviews are performed when there are indicators that the carrying value may not be recoverable. Impairment losses are recognized in profit or loss as an expense. An item of property and equipment is derecognized upon disposal or when no further future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in profit or loss in the year the asset is derecognized.

2.9 Impairment of non-financial assets

The Company assesses at each reporting date whether there is an indication that an asset may be impaired. If any such indication exists, or when annual impairment testing for an asset is required, the Company estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash-generating unit's (CGU) fair value less costs to sell and its value in use. The recoverable amount is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, recent market transactions are taken into account, if available. If no such transactions can be identified, an appropriate valuation model is used.

Impairment losses of continuing operations are recognized in profit or loss in those expense categories consistent with the function of the impaired asset.

For assets excluding goodwill, an assessment is made at each reporting date as to whether there is any indication that previously recognized impairment losses may no longer exist or may have decreased. If such indication exists, the Company makes an estimate of the asset's or CGU's recoverable amount. A previously recognized impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognized. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of amortization, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in profit or loss unless the asset is carried at revalued amount, in which case, the reversal is treated as a revaluation increase.

2.10 Income taxes

Current income tax assets and liabilities for the current period are measured at the amount expected to be recovered from or paid to the tax authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the reporting date in Nigeria. Current income tax assets and liabilities also include adjustments for tax expected to be payable or recoverable in respect of previous periods.

Current income tax relating to items recognized directly in equity or other comprehensive income is recognized in equity or other comprehensive income and not profit or loss. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and accrues for additional liabilities where appropriate. It is measured using tax rates enacted or subsequently enacted at the reporting date.

2.10.1 Deferred tax

Deferred tax is provided using the balance sheet method providing for temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax liabilities are recognized for all taxable temporary differences, except when the deferred tax liability arises from the initial recognition of goodwill or of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.

Deferred tax assets are recognized for all deductible temporary differences, carry forward of unused tax credits and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilized except where the deferred tax assets relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax assets to be utilized. Unrecognized deferred tax assets are reassessed at each reporting date and are recognized to the extent that it has become probable that future taxable profits will allow the deferred tax assets to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred tax relating to items recognized outside profit or loss is recognized outside profit or loss. Deferred tax relating to such items are recognized in correlation to the underlying transaction either in other comprehensive income or directly in equity.

Deferred tax assets and deferred tax liabilities are offset, if a legally enforceable right exists to set off current tax assets against current income tax liabilities and the deferred taxes relate to the same taxable entity and the same tax authority.

2.11 Employee benefits

Short-term employee benefits: Short-term employee benefit obligations include wages, salaries and other benefits which the Company has a present obligation to pay, as a result of employees' services provided up to the reporting date. The accrual is calculated on an undiscounted basis, using current salary rates and recognised in the profit or loss.

A liability is recognized for the amount expected to be paid under short-term cash bonus or profit-sharing plans if the Company has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

Post employment benefits: The Company operates various post-employment schemes, including both defined benefit and defined contribution pension plans.

Defined contribution plan: The Company operates a defined contribution retirement scheme as stipulated in the Pension Reform Act. Under the defined contribution scheme, the Company pays fixed contributions of 10% to a separate entity – Pension Fund Administrators; employees also pay a minimum fixed percentage contribution of 8% to the same entity. Once the contributions have been paid, the Company retains no legal or constructive obligation to pay further contributions if the Fund does not hold enough assets to finance benefits accruing under the retirement benefit plan. The Company's obligations are recognized in the profit or loss. Prepaid contributions are recognized as an asset to the extent that a cash refund or a reduction in future payments is available. Contributions paid in advance to a defined contribution plan that is due for periods over 12 months after the end of the reporting period in which the employees render the service are discounted to their present value.

Defined benefits scheme: The liability or asset recognised in the statement of financial position in respect of defined benefit pension plans is the present value of the defined benefit obligation at the end of the reporting period less the fair value of plan assets. The defined benefit obligation is calculated annually by independent actuaries using the projected unit credit method.

The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using interest rates of high-quality corporate bonds that are denominated in the currency in which the benefits will be paid, and that have terms approximating to the terms of the related obligation. In countries where there is no deep market in such bonds, the market rates on government bonds are used.

The net interest cost is calculated by applying the discount rate to the net balance of the defined benefit obligation and the fair value of plan assets. This cost is included in employee benefit expense in the statement of profit or loss.

Remeasurement gains and losses arising from experience adjustments and changes in actuarial assumptions are recognised in the period in which they occur, directly in other comprehensive income. They are included in retained earnings in the statement of changes in equity and in the statement of financial position.

Changes in the present value of the defined benefit obligation resulting from plan amendments or curtailments are recognised immediately in profit or loss as past service costs.

The defined benefit schemes have been discontinued by the Company.

2.12 Provisions

Provisions are recognized when the Company has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. Where the Company expects some or all of a provision to be reimbursed, the reimbursement is recognized as a separate asset, but only when the reimbursement is virtually certain. The expense relating to any provision is presented in profit or loss net of any reimbursement. If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognized as a finance cost.

2.13 Dividends on ordinary share capital

Dividends on ordinary shares are recognised in equity in the period in which they are approved by the Company's shareholders. Dividends for the year that are declared after the date of the statement of financial position are dealt with as an event after the reporting date. Dividends proposed by the directors but not yet approved by members are disclosed in the financial statements in accordance with the requirements of the Company and Allied Matters Act.

2.14 Earnings per share

The Company presents basic and diluted earnings per share (EPS) data for its ordinary shares. Basic earnings per share is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

2.15 Revenue recognition

Fees earned by the Company include; annual maintenance fees and income from general registrar services. The annual maintenance fees are accrued and recognised over time on a straight line basis. Income from general services revenue stream are earned at the point in time when the service is rendered.

2.15.1 Rendering of services

a Annual maintenance

The Company maintains and updates a register of shareholders on behalf of customers (listed corporate entities). The annual register maintenance fees relate to fees in respect of the maintenance of shareholders' register. Customers are invoiced at the beginning of the reporting period based on the contract terms. The amount invoiced depends on the agreed rate (per shareholder) between the customer and the Company. Revenue earned from annual maintenance are accrued and recognized over time on a straight-line basis.

b General registrar services

The Company renders several other registrars' services such as electronic share notifying service, share transfer or sale update services, Annual General Meeting organization and voting services, certificate issue services, and dividend payment services to customers (corporate and unincoporated entities). Income from these services is recognized at a point in time when customers enjoy the services. A receivable is recognized when the services are delivered as this is the point in time that the consideration is unconditional because only the passage of time is required before the payment is due.

2.16 Net interest and other Income

Interest income and expense is recognized in the income statement on an accrual basis and is calculated using the effective interest rate method. Interest income comprises interest income on funds invested and interest bearing financial assets. Gains on the disposal of financial assets, dividend income and other miscellaneous fees are recognised in profit or loss as Other Income. Dividend income represents income earned on the Company's equity investments. Interest income is recognised as it accrues in the statement of profit or loss, using the effective interest method.

The effective interest method is a method of calculating the amortized cost of a financial asset or a financial liability and of allocating the interest income or interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or, when appropriate, a shorter period to the net carrying amount of the financial asset or financial liability.

When calculating the effective interest rate, the Company estimates cash flows considering all contractual terms of the financial instrument (for example, prepayment options) but does not consider future credit losses. The calculation includes all fees and points paid or received between parties to the contract that are an integral part of the effective interest rate, transaction costs and all other premiums or discounts. Where the estimated cash flows on financial assets are subsequently revised, other than impairment losses, the carrying amount of the financial assets is adjusted to reflect actual and revised cash flows.

2.17 Leases

At inception of a contract, the Company assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Company assesses whether:

– the contract involves the use of an identified asset – this may be specified explicitly or implicitly, and should be physically distinct or represent substantially all of the capacity of a physically distinct asset. If the supplier has a substantive substitution right, then the asset is not identified;
– the Company has the right to obtain substantially all of the economic benefits from use of the asset throughout the period of use; and
– the Company has the right to direct the use of the asset. The Company has this right when it has the decision-making rights that are most relevant to changing how and for what purpose the asset is used.

In rare cases where the decision about how and for what purpose the asset is used is predetermined, the Company has the right to direct the use of the asset if either:
- the Company has the right to operate the asset; or
- the Company designed the asset in a way that predetermines how and for what purpose it will be used.

This policy is applied to contracts entered into, or changed, on or after 1 January 2019.

The Company's leases include plots of land and buildings (office space). Lease terms are negotiated on an individual basis and contain different terms and conditions, including extension and termination options. The lease terms range from 3 years to 10 years. The lease agreements do not impose any covenants - however, leased assets may not be used as security for borrowing purposes.

Contracts may contain both lease and non-lease components. The company has elected to separate lease and non-lease components and treat them accordingly.

Until the 2018 financial year, leases of property were classified as either finance or operating leases. Payments made under operating leases (net of any incentives received from the lessor) were charged to profit or loss on a straight-line basis over the period of the lease.

From 1 January 2019, leases are recognised as a right-of-use asset and a corresponding liability at the date at which the leased asset is available for use by the company. Each lease payment is allocated between the liability and finance cost. The right-of-use asset is depreciated over the shorter of the asset's useful life and the lease term on a straight-line basis.

Lease liabilities

At the commencement date of a lease, the Company recognises lease liabilities at the present value of lease payments to be made over the lease term. Lease liabilities include the net present value of the following lease payments:

- fixed payments (including in-substance fixed payments), less any lease incentives receivable;
- variable lease payments that are based on an index or a rate;
- amounts expected to be payable by the company under residual value guarantees;
- the exercise price of a purchase option if the lessee is reasonably certain to exercise that option; and
- payments of penalties for terminating the lease, if the lease term reflects the company exercising that option.

Lease payments to be made under reasonably certain extension options are also included in the measurement of the liability. The variable lease payments that do not depend on an index or a rate are recognised as expenses in the period in which the event or condition that triggers the payment occurs.

The lease payments are discounted using the company's incremental borrowing rate, being the rate that the company would have to pay to borrow the funds necessary to obtain an asset of similar value to the right of use asset in a similar economic environment with similar terms, security and conditions.

The finance cost is charged to profit or loss over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the in-substance fixed lease payments or a change in the assessment to purchase the underlying asset.

Right-of-use assets

Right-of-use assets are initially measured at cost, comprising of the following:

- the amount of the initial measurement of lease liability;
- any lease payments made at or before the commencement date, less any lease incentives received;
- any initial direct costs; and
- restoration costs.

Right-of-use assets are generally depreciated over the shorter of the asset's useful life and the lease term on a straight-line basis. If the company is reasonably certain to exercise a purchase option, the right-of-use asset is depreciated over the underlying asset's useful life.

Short-term leases and leases of low-value assets

Short-term leases are those leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option. Low-value assets are assets that have values less than N1,500,000 when new, and depends on the nature of the asset. Lease payments on short-term leases and leases of low-value assets would be recognised as expenses in profit or loss on a straight-line basis over the lease term. The Company has no short term leases as at transition date.

Notes to the financial statements

3 Financial risk management

Introduction and overview

Risk management is carried out jointly by the Finance and Treasury unit under policies approved by the Board of Directors. The finance department identifies, evaluates, measures and hedges financial risks in close co-operation with the Company's investment and treasury unit. The Board through the Head of Finance provides written principles for overall risk management, as well as written policies covering specific areas, such as foreign exchange risk, interest rate risk and investment risk. In addition, internal audit is responsible for the independent review of the effectiveness of the Company's risk management process and procedures and the control environment. The risks arising from financial instruments to which the Company is exposed are credit risks, liquidity risk and market risk.

The key elements of the Company's risk management philosophy are as follows:

- The Company considers sound risk management to be the foundation of a long-lasting financial institution.
- The Company continues to adopt a holistic and integrated approach to risk management and, therefore, brings all risks together under one function while making various branch leaders, managers of the risk in their territory.
- Risk officers are empowered to perform their duties professionally and independently without undue interference.
- Risk management is governed by well-defined policies that are clearly communicated across the Company.
- Risk management is a shared responsibility. Therefore, the Company aims to build a shared perspective on risks that is grounded in consensus.
- The Company's risk management governance structure is clearly defined.
- There is a clear segregation of duties between market-facing business units and risk management functions.
- Risk-related issues are taken into consideration in all business decisions. The Company continues to strive to maintain a conservative balance between risk and revenue considerations.
- Risks are reported openly and fully to the appropriate levels once they are identified.
- Risk officers work as allies to other stakeholders within and outside the Company, and are guided in the exercise of their powers by a deep sense of responsibility, professionalism and respect for other parties.

3.1 Credit risk

Credit risk is the probability of suffering financial loss, should any of the Company's customers, clients or market counterparties fail to fulfill their contractual obligations to the Company. Credit risk arises mainly from placements or deposits with banks and discount houses, bonds, treasury bills and receivables from customers. Loans and advances to staff who fail to honour their obligation at the point of exit can also result into a huge loss if not properly managed.

Credit risk is the single largest risk for the Company's business; management therefore carefully manages its exposure to credit risk. The credit risk management and control function is centralised in a financial management team, which reports to the Executive Management and Board.

Outlined below is a summary of the carrying amount of the Company's financial assets which represents the maximum exposure to credit risk at the reporting date:

The Company's financial assets which have credit risk exposure are all subject to impairment.

	Note	31-Dec-23 ₦'000	31-Dec-22 ₦'000
Cash and bank balances (excluding cash in hand)	11	578,196	1,922,937
Placements with financial institutions	12	3,198,592	3,903,131
Investment securities			
Listed equity investment	14.5	3,381,192	2,790,469
State and Federal government bonds	14.2	1,598,483	2,684,386
Loans and other receivable	13	1,030,439	1,102,475
Other assets	15	34,494	66,977
Total		9,821,396	12,470,375

Notes to the financial statements

3.1.1 Measurement basis of financial assets and liabilities

31 December 2023	Fair value through P/L ₦'000	Fair value through OCI ₦'000	Amortised cost ₦'000	Total ₦'000
Financial assets				
Cash and bank balances (excluding cash in hand)	-	-	578,196	578,196
Placements with financial institutions	-	-	3,198,592	3,198,592
Investment securities				
Listed equity investment	-	3,381,192	-	3,381,192
State and Federal government bonds	-	-	1,598,483	1,598,483
Loans and other receivable	-	-	1,030,439	1,030,439
Other assets	-	-	34,494	34,494
	-	**3,381,192**	**6,440,204**	**9,821,396**
Financial liabilities				
Funds awaiting remittance	-	-	6,847,209	6,847,209
Other liabilities	-	-	418,357	418,357
	-	**-**	**7,265,566**	**7,265,566**

31 December 2022	Fair value through P/L ₦'000	Fair value through OCI ₦'000	Amortised cost ₦'000	Total ₦'000
Financial assets				
Cash and bank balances (excluding cash in hand)	-	-	1,922,937	1,922,937
Placements with financial institutions	-	-	3,903,131	3,903,131
Investment securities				
Listed equity investment	-	2,790,469	-	2,790,469
State and Federal government bonds	-	-	2,684,386	2,684,386
Loans and other receivable	-	-	1,102,475	1,102,475
Other assets	-	-	66,977	66,977
	-	**2,790,469**	**9,679,906**	**12,470,375**
Financial liabilities				
Funds awaiting remittance	-	-	8,810,608	8,810,608
Other liabilities	-	-	1,683,680	1,683,680
	-	**-**	**10,494,288**	**10,494,288**

3.1.2 Credit quality of financial assets

The Company manages the credit quality of its financial assets using external credit ratings. If there is no external credit ratings, management assesses the credit quality of the asset, taking into account the financial positions, past experiences and other forward looking factors relating to the counterparties. Individual risk limits are set based on external ratings in accordance with limits set by the board. The compliance with credit limits are regularly monitored by the treasury and investment unit.

Notes to the financial statements

3.1.2 Credit quality of financial assets (cont'd)

(i) The table below shows the stage classification for all financial assets exposed to credit risk.

	31-Dec-23			
	Stage1 12-month ECL	**Stage 2 Lifetime ECL**	**Stage 3 Lifetime ECL**	**Total**
	₦'000	**₦'000**	**₦'000**	**₦'000**
Cash and bank balances (excluding cash in hand)	578,196	-	-	578,196
Placements with financial institutions	3,198,592	-	-	3,198,592
Loss allowance	(15,044)	-	-	(15,044)
Carrying amount	**3,761,744**	**-**	**-**	**3,761,744**
Investment securities				
Listed equity investment	3,381,192	-	-	3,381,192
State & Federal government bonds	1,598,483	-	-	1,598,483
Loss allowance: State & Federal government bonds	(6,697)	-	-	(6,697)
Carrying amount	**1,591,786**	**-**	**-**	**1,591,786**
Loans and other receivable	1,030,439	-	-	1,030,439
Loss allowance: Loans and other receivable	(424,051)	(0)	-	(424,052)
Other assets	34,494	-	-	34,494
Loss allowance: Other assets	(31,533)	-	-	(31,533)
Carrying amount	**609,348**	**(0)**	**-**	**609,348**

	31-Dec-22			
	Stage1 12-month ECL	**Stage 2 Lifetime ECL**	**Stage 3 Lifetime ECL**	**Total**
	₦'000	**₦'000**	**₦'000**	**₦'000**
Cash and bank balances (excluding cash in hand)	1,922,937	-	-	1,922,937
Placements with financial institutions	3,903,131	-	-	3,903,131
Loss allowance	(5,446)	-	-	(5,446)
Carrying amount	**5,820,622**	**-**	**-**	**5,820,622**
Investment securities				
Listed equity investment	2,790,469	-	-	2,790,469
State government bonds	2,684,386	-	-	2,684,386
Loss allowance - State government bonds	(9,057)	-	-	(9,057)
Carrying amount	**5,465,798**	**-**	**-**	**5,465,798**
Loans and other receivable	1,102,475	-	-	1,102,475
Loss allowance: Loans and other receivable	(454,507)	-	-	(454,507)
Other assets	66,977	-	-	66,977
Loss allowance: Other assets	(41,614)	-	-	(41,614)
Carrying amount	**673,331**	-	-	**673,331**

Notes to the financial statements

3.1.2 Credit quality of financial assets (cont'd)

The credit quality of financial assets can be assessed by reference to external credit ratings (Fitch Ratings Inc.) or to forward looking information.

	31-Dec-23					
	AA- to A+ ₦'000	B- to BBB+ ₦'000	Unrated ₦'000	Gross amount ₦'000	Impairment ₦'000	Total ₦'000
Cash and bank balances (excluding cash in hand)	-	578,196	-	578,196	-	578,196
Placements with financial institutions	-	3,198,592	-	3,198,592	(15,044)	3,183,548
Investment securities:						
Listed equity investment	-	3,381,192	-	3,381,192	-	3,381,192
State & Federal government bonds	-	1,598,483	-	1,598,483	(6,697)	1,591,786
Loans and other receivable	-	-	1,030,439	1,030,439	(424,052)	606,387
Other assets	-	-	34,494	34,494	(31,533)	2,961
	-	8,756,464	1,064,933	9,821,397	(477,326)	9,344,072

	31-Dec-22					
	AA- to A+ ₦'000	B- to BBB+ ₦'000	Unrated ₦'000	Gross amount ₦'000	Impairment ₦'000	Total ₦'000
Cash and bank balances (excluding cash in hand)	-	1,922,937	-	1,922,937	-	1,922,937
Placements with financial institutions	-	3,903,131	-	3,903,131	(5,446)	3,897,685
Investment securities:						
Listed equity investment		2,684,386	-	-	-	-
State government bonds	-	2,684,386	-	2,684,386	(9,057)	2,675,328
Loans and other receivable	-	-	1,102,475	1,102,475	(454,507)	647,968
Other assets	-	-	66,977	66,977	(41,614)	25,363
	-	11,194,839	1,169,452	9,679,906	(510,624)	9,169,281

3.1.3 Concentration of risks of financial assets with credit risk exposure

(i) Geographical sectors

All credit risk exposures (without taking into account any collateral held or other credit support) are maintained within Nigeria.

Notes to the financial statements

(ii) Sectoral concentration risk analysis

	31-Dec-23				
	Financial institutions	**Government**	**Commercial**	**Others**	**Total**
	₦'000	**₦'000**	**₦'000**	**₦'000**	**₦'000**
Cash and bank balances (excluding cash in hand)	578,196	-	-	-	578,196
Placements with financial institutions	3,198,592	-	-	-	3,198,592
Investment securities:					
Listed equity investment	-	3,381,192	-	-	3,381,192
State & Federal government bonds	-	1,598,483	-	-	1,598,483
Loans and other receivable	169,825	5,325	777,168	78,121	1,030,439
Other assets	2,961	-	-	-	2,961
	3,949,575	4,985,000	777,168	78,121	9,789,863

	31-Dec-22				
	Financial institutions	**Government**	**Commercial**	**Others**	**Total**
	₦'000	**₦'000**	**₦'000**	**₦'000**	**₦'000**
Cash and bank balances (excluding cash in hand)	1,922,937	-	-	-	1,922,937
Placements with financial institutions	3,903,131	-	-	-	3,903,131
Investment securities:					
Treasury bills	-	2,790,469	-	-	2,790,469
State government bonds	-	2,684,386	-	-	2,684,386
Loans and other receivable	169,825	5,325	777,168	150,157	1,102,475
Other assets	25,363	-	-	-	25,364
	6,021,256	5,480,180	777,168	150,157	12,428,761

3.2 Liquidity risk

Liquidity risk is the risk that the Company is unable to meet its obligations when they fall due as a result of mismatch in maturities of financial assets and financial liabilities or incomes falling below expenses, inability to meet cash requirements from contractual commitments, or other cash outflows.

The risk that the Company will be unable to do so is inherent in all the Company's operations and can be affected by a range of institution-specific and market-wide events including, but not limited to, investment events (including fund Investment activities), merger and acquisition activity (if any), systemic shocks and natural disasters.

3.2.1 Management of liquidity risk

The Company's liquidity management process, as carried out within the Company and monitored by a separate team in risk management, includes:

- Day-to-day funding, managed by monitoring future cash flow needs to ensure that funding requirements can be met. This includes replenishment of funds as they mature.
- Maintaining a portfolio of highly marketable assets that can be easily liquidated as protection against any unforeseen interruption to cash flow;
- Managing the concentration and profile of investment maturities.
- Monitoring and reporting take the form of cash flow measurements and projections for the next month respectively, as this is a key period for liquidity management.

Notes to the financial statements

3.2.2 Liquidity gap analysis

The following tables show the undiscounted cashflows on the company's financial assets and liabilities and on the basis of their earliest possible contractual maturity. The gross nominal inflow/(outflow) disclosed in the table is the contractual, undiscounted cash flow on the financial assets and liabilities. The Company manages its liquidity position by concentrating on the profile of financial asset maturities.

	31-Dec-23					
	Carrying amount	**Gross nominal inflow/ (outflow)**	**0 - 3 months**	**3- 6 months**	**6 months - 1 year**	**>1 year**
Financial assets	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**
Cash and bank balances	578,196	578,196	578,196	-	-	-
Placements with financial institutions	3,198,592	3,198,592	3,198,592	-	-	-
Listed equity investment	3,381,192	3,381,192	3,381,192	-	-	-
Corporate, State & Federal government bonds	1,598,483	3,910,187	114,651	134,919	176,142	3,484,475
	8,756,464	11,068,168	7,272,632	134,919	176,142	3,484,475

	31-Dec-23					
	Carrying amount	**Gross nominal inflow/ (outflow)**	**0 - 3 months**	**3- 6 months**	**6 months - 1 year**	**>1 year**
Financial liabilities	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**
Funds awaiting remittance	6,847,209	6,847,209	6,847,209	-	-	-
Other liabilities	418,357	418,357	418,357	-	-	-
	7,265,566	7,265,566	7,265,566	-	-	-
Surplus	1,490,898	3,802,602	7,066	134,919	176,142	3,484,475

	31-Dec-22					
	Carrying amount	**Gross nominal inflow/ (outflow)**	**0 - 3 months**	**3- 6 months**	**6 months - 1 year**	**>1 year**
Financial assets	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**
Cash and bank balances	1,923,077	1,923,077	1,923,077	-	-	-
Placements with financial institutions	3,897,685	3,897,685	3,897,685	-	-	-
Listed equity investment	2,790,469	2,790,469	2,790,469			
Corporate, State & Federal government bonds	2,684,385	3,910,187	114,651	134,919	176,142	3,484,475
	11,295,616	12,521,418	8,725,882	134,919	176,142	3,484,475

Notes to the financial statements

	31-Dec-22					
	Carrying amount	**Gross nominal inflow/ (outflow)**	**0 - 3 months**	**3- 6 months**	**6 months - 1 year**	**>1 year**
Financial liabilities	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**
Funds awaiting remittance	8,810,608	8,810,608	8,810,608	-	-	-
Other liabilities	1,683,680	1,683,680	1,683,680	-	-	-
	10,494,287	10,494,287	10,494,287	-	-	-
Surplus/(deficit)	801,329	2,027,131	(1,768,405)	134,919	176,142	3,484,475

The Company's financial liabilities are majorly amounts payable to shareholders of the applicable entities that First Registrars & Investors Services Limited act as registrars to. Investments are liquidated as the need arises to make payments to the share holders once necessary documentation are in place.

3.3 Market risk

Market risk is the exposure to an adverse change in the market value of trading and investment positions caused by a change in prices and rates. The market risks to which the Company is exposed consist of foreign exchange rates, interest rates and equity prices.

3.3.1 Management of market risk

The Company has put in place a clearly defined market risk management framework that provides the Board of Directors and management with guidance on market risk management processes. The Company has also prescribed tolerable market related losses, vis-a-vis the quantum of available capital and level of other risk exposures.

3.3.2 Foreign exchange risks

Foreign exchange risks are risks from exposures to changes in spot and forward rates and volatilities of the exchange rates. The exchange rate ruling at the date of preparation of the financial statements is used to ascertain the net position of the foreign currency balances. The finance unit monitors the Company's foreign currency position on a monthly basis.

The Company holds very minimal assets denominated in currencies other than the functional currency. As at 31 December 2023, the Company had $501 (equivalent to ₦450,000) in its domiciliary account {2022: $449 (equivalent to ₦253,000)} reported with cash and bank balances. Change in exchange rates relative to this foreign currency balance will not have a material impact in the financial statements.

3.3.3 Interest rate risks

The Company is subject to fair value interest rate risk due to fluctuations in the prevailing levels of market interest rates. All the Company's financial assets (except equity investments classified as available for sale) are measured at amortised cost. Such financial assets include short term placements with banks and treasury bills.

	31-Dec-23		
	Carrying amount	**Fixed interest**	**Non interest bearing**
Financial assets	**₦'000**	**₦'000**	**₦'000**
Cash and bank balances	578,196	-	578,196
Placements with financial institutions	3,198,592	3,198,592	-
Investment securities			
Listed equity securities	3,381,192	-	3,381,192
State & Federal government bonds	1,598,483	1,598,483	-
Loans and other receivable	1,030,439	578,120	452,319
Other assets	34,494	-	34,494
Total financial assets	9,821,396	5,375,195	4,446,202

Notes to the financial statements

	31-Dec-23 Carrying amount ₦'000	Fixed interest ₦'000	Non interest bearing ₦'000
Financial liabilities			
Funds awaiting remittance	6,847,209	-	6,847,209
Other liabilities	418,357	-	418,357
Total financial liabilities	7,265,566	-	7,265,565
Net exposure	2,555,830	5,375,195	(2,819,363)

3.3.3 Interest rate risks (cont'd)

	31-Dec-22 Carrying amount ₦'000	Fixed interest ₦'000	Non interest bearing ₦'000
Financial assets			
Cash and bank balances	1,923,077	-	1,923,077
Placements with financial institutions	3,903,131	3,903,131	-
Investment securities			
Listed equity securities	2,790,469	-	2,790,469
State and Federal government bonds	2,684,386	2,684,386	-
Loans and other receivable	1,102,475	598,384	504,091
Other assets	66,977	-	66,977
Total financial assets	12,470,515	7,185,901	5,284,614
Financial liabilities			
Funds awaiting remittance	8,810,608	-	8,810,608
Other liabilities	1,683,680	-	1,683,680
Total financial liabilities	10,494,287	-	10,494,287
Net exposure	1,976,228	7,185,901	(5,209,673)

A reasonably possible change of 100 basis points in interest rates of the Company's financial assets at the reporting date would increase/(decrease) profit or loss by the amounts shown below. This analysis assumes that all other variables remain constant.

	31-Dec-23		31-Dec-22	
	100bps Increase	100bps decrease	100bps Increase	100bps decrease
	Profit or loss		Profit or loss	
	₦'000	₦'000	₦'000	₦'000
Placements with financial institutions	495	(495)	495	(495)
Investment securities				
State & Federal government bonds	24,607	(24,607)	24,607	(24,607)
Loans and other receivable	593	(593)	593	(593)
	25,695	(25,696)	25,695	(25,695)

Notes to the financial statements

3.3.4 Equity price risks

Equity price risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices (other than those arising from interest rate risk). The investments of the company are subject to normal market fluctuations and the risks inherent in investment in financial markets. The maximum risk resulting from financial instruments held by the company is determined by the fair value of the financial instruments. The Company is exposed to market risk on its equity investments.

	31-Dec-23	31-Dec-22
	₦'000	₦'000
Listed equity investment	3,381,192	2,790,469

Sensitivity analysis
The sensitivity analysis for equity price risk shows how the fair value or future cash flows of a financial instrument will fluctuate because of changes in the market price. The sensitivity of the Company's earnings to fluctuations in equity price rates is reflected by varying the market prices as shown below:

	Other comprehensive income	
	31-Dec-23	31-Dec-22
Equity price shock	₦'000	₦'000
+20%	676,238	558,094
+10%	338,119	279,047
-10%	(338,119)	(279,047)
-20%	(676,238)	(558,094)

3.4 Fair value of financial assets and liabilities

The classification of financial instruments into various fair value hierarchies is based on whether the inputs into determining the fair values of the instruments are observable or unobservable. Observable input reflects market data obtained from independent sources; unobservable inputs reflect the Company's market assumptions. These two types of inputs have created the following fair value hierarchy:

Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities.

Level 2: Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices). This hierarchy requires the use of observable market data when available. The Company considers relevant and observable market prices in its valuations where possible.

Level 3: Inputs, for the asset or liability, that are not based on observable market data.

3.4.1 Financial instruments not measured at fair value

The table below sets out the fair values of financial instruments not measured at fair value and analyses them by the level in the fair value hierarchy into which each fair value measurement is categorised:

Notes to the financial statements

	31-Dec-23				
Financial assets	**Level 1 ₦'000**	**Level 2 ₦'000**	**Level 3 ₦'000**	**Fair value ₦'000**	**Carrying amount ₦'000**
Cash and bank balances	-	578,196	-	578,196	578,196
Placements with financial institutions	-	3,198,592	-	3,198,592	3,198,592
Investment securities					
State & Federal government bonds	1,598,483	-	-	1,598,483	1,598,483
Loans and other receivable	-	-	1,030,439	1,030,439	1,030,439
Other assets	-	-	2,961	2,961	2,961
	1,598,483	3,776,788	1,033,400	6,408,671	6,408,671
Financial liabilities					
Funds awaiting remittance	-	-	6,847,209	6,847,209	6,847,209
Other liabilities	-	-	418,357	418,357	418,357
	-	-	7,265,566	7,265,566	7,265,566

	31-Dec-22				
Financial assets	**Level 1 ₦'000**	**Level 2 ₦'000**	**Level 3 ₦'000**	**Fair value ₦'000**	**Carrying amount ₦'000**
Cash and bank balances	-	1,923,077	-	1,923,077	1,923,077
Placements with financial institutions	-	3,903,131	-	3,903,131	3,903,131
Investment securities					
State & Federal government bonds	2,684,386	-	-	2,684,386	2,684,386
Loans and other receivable	-	-	1,102,475	1,102,475	1,102,475
Other assets	-	-	25,363	25,363	25,363
	2,684,386	5,826,208	1,127,838	9,638,432	9,638,432
Financial liabilities					
Funds awaiting remittance	-	-	8,810,608	8,810,608	8,810,608
Other liabilities	-	-	1,683,680	1,683,680	1,683,680
	-	-	10,494,287	10,494,287	10,494,287

Below are the methodologies and assumptions used to determine fair values for the above financial instruments which are not recorded and measured at fair value in the Company's financial statements. These fair values were calculated for disclosure purposes only.

i) Cash and bank balances

The carrying amount of cash and bank balances is a reasonable approximation of fair value.

ii) Placements with financial institutions

The carrying amount of placements with financial institutions is a reasonable approximation of fair value.

iii) Investment securities

The fair value for investment securities is based on market prices from financial market dealer price quotations. Where this information is not available, fair value is estimated using quoted market prices for securities with similar credit, maturity and yield characteristics.

iv) Loans and other receivable

The carrying amount of loans and receivables is a reasonable approximation of fair value.

Notes to the financial statements

3.4.1 Financial instruments not measured at fair value (cont'd)

v) Other assets

The bulk of these financial assets have short (less than 3 months) maturities and their amounts are a reasonable approximation of fair value.

vi) Funds awaiting remittance

The bulk of these financial assets are expected to be settled within 12 months after the date of the statement of financial position. Hence, their carrying amount are a reasonable approximation of fair value.

vii) Other liabilities

The bulk of these financial liabilities have short (less than 3 months) maturities and their amounts are a reasonable approximation of fair value.

3.4.2 Financial instruments measured at fair value

The table below sets out the fair values of financial instruments measured at fair value and analyses them by the level in the fair value hierarchy into which each fair value measurement is categorised:

	31-Dec-23			
	Level 1	Level 2	Fair value	Carrying amount
	₦'000	₦'000	₦'000	₦'000
Listed equity investments	3,331,192	-	3,331,192	3,331,192
Unlisted equity investments	-	50,000	50,000	50,000
	3,331,192	**50,000**	**3,381,192**	**3,381,192**

	31-Dec-22			
	Level 1	Level 2	Fair value	Carrying amount
	₦'000	₦'000	₦'000	₦'000
Listed equity investments	2,740,469	-	2,740,469	2,740,469
Unlisted equity investments	-	50,000	50,000	50,000
	2,740,469	**50,000**	**2,790,469**	**2,790,469**

There were no transfers between levels 1 and 2 for recurring fair value measurements during the year.

3.5 Capital Management

The Company's objectives when managing capital, which is a broader concept than the 'equity' on the face of the statement of financial position, are:

i) To comply with the capital requirements set by the regulators of the capital market, where the Company operates; the minimum capital requirement for registrars as directed by SEC is ₦150 million;

ii) To safeguard the Company's ability to continue as a going concern so that it can continue to provide returns for shareholders and benefits for other stakeholders; and

iii) To maintain a strong capital base to support the development of its business.

Capital adequacy and the use of regulatory capital are monitored daily by the Company's finance team based on appropriate regulatory guideline. The regulatory capital requirements are strictly observed when managing capital. The shareholders fund of the Company as at 31 December 2023 is ₦4.81 billion (2022: ₦3.28 billion). This indicates that the Company has sufficient capital.

Notes to the financial statements

4 Significant accounting judgements, estimates and assumptions

4.1 Significant accounting judgements, estimates and assumptions

The preparation of the Company's financial statements requires management to make judgements, estimates and assumptions that affect the reported amount of revenues, expenses, assets and liabilities, and the accompanying disclosures, as well as the disclosure of contingent liabilities. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of assets or liabilities affected in future periods. In the process of applying the Company's accounting policies, management has made the following judgements and assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities. Existing circumstances and assumptions about future developments may change due to circumstances beyond the Company's control and are reflected in the assumptions if and when they occur. Items with the most significant effect on the amounts recognised in the financial statements with substantial management judgement and/or estimates are collated below.

4.1.1 Deferred tax assets

Uncertainties exist with respect to the interpretation of complex tax regulations and the amount and timing of future taxable income.

Deferred tax assets are recognized for all unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilized. Significant management judgment is required to determine the amount of deferred tax assets that can be recognized, based on the likely timing and the level of future taxable profits together with future tax planning strategies. Refer to details of deferred tax asset recognised and the amount unrecognised in note 25.

4.1.2 Estimates of impairment on loans and receivables and other financial assets

The measurement of the expected credit loss (ECL) allowance for financial assets measured at amortised cost and FVOCI is an area that requires the use of complex models and significant assumptions about future economic conditions and credit behaviour (e.g. the likelihood of customers defaulting and the resulting losses). Details of the inputs, assumptions and estimation methodologies used in measuring ECL are described in note 2.5.1(c). A number of significant judgements are also required in applying the accounting requirements for measuring ECL, such as: - Determining criteria for significant increase in credit risk; - Choosing appropriate models and assumptions for the measurement of ECL; - Establishing the number and relative weightings of forward-looking scenarios for each type of product/market and associated ECL; and - Establishing groups of financial assets for the purposes of measuring ECL. Detailed information about the judgements and estimates made by the company in the above areas is set out in note 2.5.1(c).

i. General Model

	Impact on profit or loss before tax			
	31-Dec-23		31-Dec-22	
	PD	**LGD**	**PD**	**LGD**
+10%	898	1,449	898	1,449
-10%	(898)	(1,449)	(898)	(1,449)

	Impact on profit or loss before tax			
	31-Dec-23		31-Dec-22	
	GDP growth rate	**Brent oil Price**	**GDP growth rate**	**Inflation rate**
+10%	(251)	(539)	(251)	(539)
-10%	251	539	251	539

Notes to the financial statements

ii. Simplified Model

	Impact on profit or loss before tax	
	31-Dec-23	**31-Dec-22**
	Loss rate	**Loss rate**
+10%	11,714	11,714
-10%	(11,714)	(11,714)

4.1.4 Extension and termination options - Determining the lease term

In determining the lease term, management considers all facts and circumstances that create an economic incentive to exercise an extension option, or not exercise a termination option. Extension options (or periods after termination options) are only included in the lease term if the lease is reasonably certain to be extended (or not terminated).

For leases of properties, the following factors are normally the most relevant:

- If there are significant penalties to terminate (or not extend), the company is typically reasonably certain to extend (or not terminate).
- If any leasehold improvements are expected to have a significant remaining value, the company is reasonably certain to extend (or not terminate).
- Otherwise, the company considers other factors, including historical lease durations and the costs and business disruption required to replace the leased asset.

The lease term is reassessed if an option is actually exercised (or not exercised) or the company becomes obliged to exercise (or not exercise) it. The assessment of reasonable certainty is only revised if a significant event or a significant change in circumstances occurs, which affects this assessment, and is within the control of the Company.

4.1.5 Determining the incremental borrowing rate

To determine the incremental borrowing rate, the Company:

- uses a one-year commercial lending rate as a starting point and adjusts it against a risk-free interest rate to derive a spread
- applies the spread on Federal Government of Nigeria bonds' interest rates with the same maturity period as the lease term.

Notes to the financial statements

5	Revenue from contracts with customers	31-Dec-23 ₦'000	31-Dec-22 ₦'000
	Provision of services		
	General registrar services	214,611	352,173
	Annual maintenance	55,214	69,473
		269,825	421,646

5.1 Disaggregation of revenue from contract with customers

The Company derives revenue from the provision of general registrar services at a point in time and from the maintenance of share registers over time.

	31-Dec-23		31-Dec-22	
	General registrar service ₦'000	Maintenance ₦'000	General registrar service ₦'000	Maintenance ₦'000
Timing of revenue recognition				
Point-in-time	214,611	-	352,173	-
Over time	-	55,214	-	69,473
Total revenue from contracts with customers	214,611	55,214	352,173	69,473

5.2 Performance obligations

Information about the Company's performance obligations are summarised below:

Provision of general registrar services
Performance obligation is satisfied upon the provision of electronic share notifying services, share transfer or sale update services, annual general meeting organization and voting services, certificate issue services, and dividend payment services to corporate and unincorporated entities. The fees are paid quarterly, based on specific contract terms with clients.

Provision of annual maintenance fee
Performance obligation is satisfied upon the provision of updated shareholder listing to corporate entities.

6	Net impairment on financial assets	31-Dec-23 ₦'000	31-Dec-22 ₦'000
	Impairment (charge)/reversal of impairment on placements (see note 12)	(9,598)	7,373
	Impairment write-back of loans and other receivables (see note 13.1)	30,456	30,824
	Impairment write-back/(charge) on investment securities*	2,360	(279)
	Impairment write-back/(charge) of KYC receivables (see note 15.1)	10,081	(4,825)
		33,298	33,093

* This relates to impairment charge on state, corporate and federal government bonds.

7	Other income	31-Dec-23 ₦'000	31-Dec-22 ₦'000
	Dividend income	232,182	110,187
	KYC verification fees	140,516	223,619
	Online access fees	302	410
	Foreign exchange gain	962	440
	Income from general services*	116,516	69,402
	Gain on disposal of equity shares***	540,776	-
	Profit on asset disposal	-	1,600
		1,031,253	405,657

Notes to the financial statements

*Income from general services comprises income earned by the Company from services rendered to customers in relation to change of name, printing of account statements, photocopies made for shareholders, power of attorney services etc.

***This relates to gain realised from the disposal of the equity shares of Transcorp Corporation Plc.

8	Operating expenses	Notes	31-Dec-23 ₦'000	31-Dec-22 ₦'000
	Staff costs	8.1	764,445	723,654
	Directors fees and other allowances (Non-executive)	31c	111,642	114,174
	Depreciation - property and equipment	17	149,473	93,457
	Depreciation - right-of-use asset	18(a)	6,612	11,237
	Amortisation - intangible assets	16	24,637	13,538
	Audit fees*		25,531	25,531
	Repairs and maintenance		78,063	78,765
	Training		31,804	44,033
	Rents and rates		-	1,278
	Bank charges and other charges		3,989	3,471
	Travelling and entertainment		119,432	94,237
	Electricity		90,168	85,372
	Donations and gift		3,100	950
	Printing, postage and stationaries		20,574	13,973
	Advertisement and publicity		63,456	62,861
	Subscriptions		8,747	6,418
	Legal and professional charges		56,883	49,613
	Insurance		35,046	25,472
	Professional and advisory services		241,800	243,058
	Fines and penalties	8.2	48,807	47,702
	Annual maintenance & Support		37,529	36,359
	Foreign exchange losses		735	782
	Annual license fees		22,908	13,520
	Administrative expenses		122,045	79,607
			2,067,423	1,869,062

*No non-audit service was provided by PricewaterhouseCoopers during the year (2022: nil).

8.1	Staff costs	31-Dec-23 ₦'000	31-Dec-22 ₦'000
	Salaries, wages and allowances	667,818	625,747
	MD's compensation	63,005	63,005
	Other staff cost	7,198	9,305
	Contributions to defined contribution plan	26,424	25,597
		764,445	723,654

8.2 Fines and penalties majorly represents additional interest of ₦47.7 million payable on the judgement sum of ₦339.8 million awarded to a customer based on the ruling of the Investments and Securities Tribunal in 2019 (2022: ₦47.7 million charge).

Notes to the financial statements

			31-Dec-23	31-Dec-22
9	**Interest income**		₦'000	₦'000
	Interest income on financial assets at amortised cost			
	Interest income on placements		599,092	468,039
	Interest income on bonds		192,331	264,623
	Interest income on loans		15,320	20,261
			806,744	752,923

			31-Dec-23	31-Dec-22
10	**Interest expenses**		₦'000	₦'000
	Interest expense - lease liability	18(b)(ii)	1,218	1,950
	Interest expense on funds awaiting remittance		-	-
			1,218	1,950

		31-Dec-23	31-Dec-22
11	**Cash and bank balances**	₦'000	₦'000
	Cash in hand	-	140
	Cash at bank	578,196	1,922,937
	Total	578,196	1,923,077

11.1	**Cash and cash equivalents (included in statement of cashflows)**	₦'000	₦'000
	Cash and bank balances (see note 11)	578,196	1,923,077
	Placements within 90 days (see note 12)	3,183,548	3,897,685
	Treasury bills and bonds (below 90 days)	-	-
	Total	3,761,744	5,820,762

Cash and cash equivalents comprise balances with less than three months' maturity from the date of acquisition, including cash in hand, deposits held at call with other banks and other short-term highly liquid investments with original maturities less than three months and held for the purpose of fulfilling short term commitments.

		31-Dec-23	31-Dec-22
12	**Placements with financial institutions**	₦'000	₦'000
	Placement with banks	3,198,592	3,903,131
	Placement with other financial institutions	-	-
		3,198,592	3,903,131
	Impairment of financial asset	(15,044)	(5,446)
	Total	3,183,548	3,897,685

Impairment loss on placement	₦'000	₦'000
At 1 January	(5,446)	(12,819)
Impairment (charge)/write-back	(9,598)	7,373
At 31 December	(15,044)	(5,446)

			31-Dec-23	31-Dec-22
13	**Loans and other receivables**		₦'000	₦'000
	Loans	Note 13 (a)	457,991	471,618
	Staff loans		120,130	126,766
	Client fees and reimbursables		452,319	504,091
			1,030,439	1,102,475
	Impairment (see note 13.1)		(424,052)	(454,507)
			606,387	647,968
	Current		492,475	527,420
	Non-current		113,912	120,548
			606,387	647,968

Notes to the financial statements

(a) This relates to an unsecured bridge finance facility granted to Honeywell Oil and Gas Limited. The outstanding amount as at 31 December 2023 was ₦458 million (2022: ₦472 million). The facility was granted at an interest rate of 12.5% (2022: 12.5%). The current loan balance matured in January 2023 but has remained unpaid.

		₦'000	₦'000
13.1	**Impairment loss on loans and other receivables**		
	As at 1 January	(454,507)	(485,331)
	Impairment write-back	30,456	30,824
	At 31 December	(424,051)	(454,507)

		Notes	31-Dec-23 ₦'000	31-Dec-22 ₦'000
14	**Investment securities**			
	Investment securities at FVOCI (Listed equity)	14.1	3,381,192	2,790,469
	Investment securities at amortised cost (State & Federal government bond)	14.2	1,598,483	2,684,386
	Impairment of financial asset (State & Federal Government bond)	(14.3, 14.4 & 14.5)	(6,697)	(9,057)
			4,972,979	5,465,797
	Current		1,591,786	2,675,329
	Non-current		3,381,193	2,790,468
			4,972,979	5,465,797

		31-Dec-23 ₦'000	31-Dec-22 ₦'000
14.1	**Equity investments at FVOCI comprise the following individual investments**:**		
	African Prudentials Plc	7,076	5,738
	Afriland Properties Plc	1,126	1,126
	ARM Money Market Fund	50,363	50,363
	Cordros Money Market Fund	50,000	50,000
	CSCS Plc	2,282,592	1,433,523
	Honeywell Flour Mills Plc	83,000	58,500
	Nigerian Breweries Plc	5,905	5,007
	Prestige Assurance Plc	8	6
	PZ Cussons Nigeria Plc	660	280
	Transnational Corporation Plc	-	889,875
	United Bank for Africa Plc	809,418	239,828
	United Capital Plc	87,975	53,550
	Forte Oil Plc	2,009	2,009
	Cadbury Nigeria Plc	1,061	665
	Total	3,381,192	2,790,469

**These are equity securities which are not held for trading, and which the Company has irrevocably elected at initial recognition to be measured at FVOCI. On disposal of these equity investments, any related balance within the FVOCI reserve is reclassified to retained earnings.

		31-Dec-23 ₦'000	31-Dec-22 ₦'000
14.2	**Investment securities at amortised cost (State government bond)**		
	Lagos State Bond	496,169	526,577
	Investment securities at amortised cost (Federal government bond)		
	FGN Bond	784,363	1,842,797
	Investment securities at amortised cost (Corporate bond)		
	Fidelity Bank	317,951	315,010
	Total	1,598,483	2,684,385

Notes to the financial statements

14.3	Impairment Loss on State government bond (Amortised Cost)	₦'000	₦'000
	As at 1 January	(2,802)	(1,548)
	Impairment write-back/(charge)	873	(1,254)
	As at 31 December	(1,929)	(2,802)

14.4	Impairment Loss on Federal government bond (Amortised Cost)	₦'000	₦'000
	As at 1 January	(6,255)	(7,214)
	Impairment write-back	2,557	959
	As at 31 December	(3,698)	(6,255)

		31-Dec-23	31-Dec-22
14.5	Impairment loss on corporate bond (Amortised Cost)	₦'000	₦'000
	As at 1 January	-	(16)
	Impairment (charge)/write-back	(1,070)	16
	As at 31 December	(1,070)	-

			31-Dec-23	31-Dec-22
15	**Other assets**		₦'000	₦'000
	Financial assets			
	KYC receivables	Note 15.1	2,961	25,363
			2,961	25,363
	Non-financial assets			
	Prepayment		43,494	65,283
	Staff upfront allowances		106,871	1,970
	Inventory & consumables		20,147	20,147
	WHT receivables		257,674	241,424
	Dividend receivables		505	505
	Insurance recoverable		41,264	41,264
	VAT recoverable		170,058	151,031
			640,013	521,623
	Total		642,974	546,986

	₦'000	₦'000
Current	150,365	67,252
Non-current	492,609	479,734
Total	642,974	546,986

15.1	KYC receivables	₦'000	₦'000
	KYC receivables	34,494	66,977
	Less impairment	(31,533)	(41,614)
		2,961	25,363

Impairment loss on KYC receivables	₦'000	₦'000
As at 1 January	(41,614)	(36,789)
Impairment write-back/(charge) during the year	10,081	(4,825)
As at 31 December	(31,533)	(41,614)

KYC receivables relate to the income from KYC verification services rendered to customers.

Notes to the financial statements

16 Intangible assets

Acquired computer software & coop solution	**31-Dec-23**	**31-Dec-22**
Cost	**₦'000**	**₦'000**
Balance at 1 January	259,330	253,716
Additions	22,675	5,614
Balance at 31 December	282,005	259,330
Accumulated amortization	**₦'000**	**₦'000**
Balance at 1 January	221,160	207,622
Amortization charge	24,637	13,538
Balance at 31 December	245,797	221,160
Net book value		
At 31 December	**36,208**	**38,170**

Notes to the financial statements

17 Property and equipment

	Leasehold land ₦'000	Building ₦'000	Motor vehicles ₦'000	Furniture and fittings ₦'000	Office equipment ₦'000	Computer equipment ₦'000	Work in progress ₦'000	Total ₦'000
Cost								
Balance at 1 January 2023	1,183,000	716,203	552,603	110,634	357,381	251,578	265	3,171,664
Additions in the year	-	10,569	462,901	479	9,968	6,169	600	490,686
Disposal in the year	-	-	(152,250)	-	-	-	(645)	(152,895)
Reclassification from work in progress	-	-	-	-	265	-	(265)	-
Balance at 31 December 2023	**1,183,000**	**726,772**	**863,254**	**111,113**	**367,614**	**257,747**	**(45)**	**3,509,455**
Accumulated depreciation								
Balance at 1 January 2023	-	58,524	427,439	94,801	277,772	234,961	-	1,093,497
Charge for the year	-	14,598	89,772	7,571	27,717	9,815	-	149,473
Disposal in the year	-	-	(152,250)	-	-	-	-	(152,250)
Balance at 31 December 2023	**-**	**73,122**	**364,961**	**102,372**	**305,489**	**244,776**	**-**	**1,090,720**
Cost								
Balance at 1 January 2022	1,183,000	658,662	500,885	101,192	306,733	235,479	-	2,985,951
Additions in the year	-	57,541	89,668	9,442	50,648	16,099	265	223,663
Disposal in the year	-	-	(37,950)	-	-	-	-	(37,950)
Balance at 31 December 2022	**1,183,000**	**716,203**	**552,603**	**110,634**	**357,381**	**251,578**	**265**	**3,171,664**
Accumulated depreciation								
Balance at 1 January 2022	-	45,212	424,591	86,483	249,825	231,879	-	1,037,990
Charge for the year	-	13,312	40,798	8,318	27,947	3,082	-	93,457
Disposal in the year	-	-	(37,950)	-	-	-	-	(37,950)
Balance at 31 December 2022	**-**	**58,524**	**427,439**	**94,801**	**277,772**	**234,961**	**-**	**1,093,498**
Net book value								
At 31 December 2023	**1,183,000**	**653,650**	**498,293**	**8,741**	**62,125**	**12,971**	**(45)**	**2,418,735**
At 31 December 2022	**1,183,000**	**657,679**	**125,164**	**15,833**	**79,609**	**16,617**	**265**	**2,078,166**

(a) There were no authorized or contracted capital commitments at the end of the reporting period (2022: nil).
(b) There were no capitalized borrowing costs related to the acquisition of property and equipment during the year (2022: nil).

Notes to the financial statements

18 Leases

This note provides information for leases where the Company is a lessee.

(a) *Amounts recognised in the statement of financial position*

The statement of financial position shows the following amounts relating to leases:

Right-of-use assets	Land ₦'000	Building ₦'000	Total ₦'000
Cost			
Balance at 1 January 2023	19,571	44,215	63,786
Additions	-	-	-
Disposal/termination	-	-	-
Closing balance as at 31 December 2023	19,571	44,215	63,786
Balance at 1 January 2022	19,571	44,215	63,786
Additions	-	-	-
Disposal/termination	-	-	-
Closing balance as at 31 December 2022	19,571	44,215	63,786
Accumulated depreciation			
Balance at 1 January 2023	8,311	35,248	43,559
Depreciation for the year	4,534	2,078	6,612
Disposal/termination	-	-	-
Closing balance as at 31 December 2023	12,845	37,326	50,171
Balance at 1 January 2022	6,233	26,089	32,322
Depreciation for the year	2,078	9,159	11,237
Disposal/termination	-	-	-
Closing balance as at 31 December 2022	8,311	35,248	43,559
Net book value			
Right-of-use assets at 31 December 2023	**6,726**	**6,889**	**13,615**
Right-of-use assets at 31 December 2022	**11,260**	**8,967**	**20,227**

(b) Lease liabilities

	₦'000	₦'000	₦'000
Opening balance as at 1 January 2023	2,497	3,854	6,351
Additions	-	-	-
Interest expense	367	851	1,218
Payments made during the period	-	-	-
Closing balance as at 31 December 2023	**2,864**	**4,705**	**7,569**
Closing balance as at 31 December 2022	**2,497**	**3,854**	**6,351**
Current	1,414	2,323	3,737
Non-current	1,450	2,382	3,832
	2,864	4,705	7,569

Notes to the financial statements

There were no additions to right-of-use assets and lease liabilities during the 2023 financial year.

(c) *Amounts recognised in the statement of profit or loss*

The statement of profit or loss shows the following amounts relating to leases:

		Land	Building	Total
		₦'000	₦'000	₦'000
(i)	Depreciation charge of right-of-use assets	4,534	2,078	6,612
(ii)	Interest expense (included in finance costs)	367	851	1,218

Notes to the financial statements

19 Asset held for sale

This relates to the Company's property (Land & Building) at Plot 56, Akanbi Onitiri Close, Off Eric Moore road, Surulere Lagos. The property was valued by Jide Taiwo & Co in 2018. The property was initially purchased for the Company's use however, it was unanimously decided that the property be sold.

The Management of the Company is committed to a plan to dispose this property and have contracted Jide Taiwo & Co (property experts) to put up the asset for sale and are actively engaging potential buyers. Management is of the opinion that the property will be disposed in the next 12 months. Furthermore, the asset is actively marketed for sale at a price that is reasonable in relation to its current fair value. The carrying amount approximates the fair value of the asset less costs to sell. No gain or loss has been recognised in the statement of comprehensive income in relation to this asset.

	31-Dec-23	31-Dec-22
	₦'000	₦'000
	556,264	548,764

20 Funds awaiting remittance

		₦'000	₦'000
Dividend and coupons awaiting remittance*	Note 20.1	6,847,209	8,810,608
Withholding tax on dividend		(77,532)	421,189
		6,769,677	9,231,797

*Funds awaiting remittance are expected to be settled within 12 months after the date of the statement of financial position.

20.1 Dividend and coupons awaiting remittance

Dividend and coupons awaiting remittance are unclaimed dividends by shareholders of companies and unclaimed coupons on state government bonds for which the Company provides registrar services.

21 Other liabilities

		31-Dec-23	31-Dec-22
Financial liabilities:		₦'000	₦'000
Accrued medical expenses		288	342
Client recoverable account		17,553	12,320
Dividend payable		220	220
Bills payable		28,582	25,365
Staff welfare deductions		458	2,515
Dormant accounts	Note 21.1	258,857	256,666
Accrued expenses	Note 21.2	42,381	41,053
Deposit for shares*	Note 21.3	-	1,236,263
Other creditors	Note 21.4	70,019	108,934
Total financial liabilities		418,357	1,683,680
Non-financial liabilities:			
PAYE and other taxes		(468)	(908)
Pension payable		2,348	1,115
ITF accrual		9,345	7,982
Deferred income		349	349
Withholding tax payable		74,506	73,081
Total non-financial liabilities		86,080	81,620
Total		**504,437**	**1,765,300**

Notes to the financial statements

Other liabilities are expected to be settled within 12 months after the date of the statement of financial position.

21.1 Dormant accounts

Dormant accounts are balances on cheques issued to customers during the year which had been long outstanding for more than 6 months which may be returned to the Company for revalidation subsequently.

21.2 Accrued expenses

These relate to expenses for audit fees, rent & legal fees.

21.3 Deposit for shares

In 2023, the Company repaid amounts advanced to them by Archavia Limited of ₦1.2 billion. The amount was advanced to the Company by Archavia Limited in previous periods for the purchase of equity in APT pensions.

21.4 Other creditors

These relate to expenses for insurance and other liabilities.

			31-Dec-23	31-Dec-22
22	**Provision**		**₦'000**	**₦'000**
	Provision for litigations and claims		1,068,520	1,020,818
	Movement in provision for litigations and claims			
	At 1 January		1,020,818	973,116
	Provisions made during the year	Note 8.2	47,702	47,702
	At 31 December		1,068,520	1,020,818

In 2010, a petition was instituted against the Company before the Securities and Exchange Commission (SEC) by a customer. The Company contested the case, nevertheless on 9 February, 2011, the Securities and Exchange Commission (SEC) ordered the Company to pay the petitioner the principal amount in dispute plus accrued interest as follows:

	31-Dec-23	31-Dec-22
	₦'000	**₦'000**
Principal	339,830	339,830
Interest (at an average MPR of 11.5% (2019: 13.5%) + 2% from January 2008 till date)	699,625	653,748
A penalty of ₦5,000 per day from 31 January, 2008 to the date of payment to the complainant.	29,065	27,240
	1,068,520	1,020,818

Management is vigorously contesting this decision in the court of law. However, a provision of ₦1.069 billion (2022: ₦1.021 billion) has been made in these financial statements as management is of the opinion that this represents the best estimate of the expenditure required to settle the obligation as at year end.

		31-Dec-23	31-Dec-22
23	**Taxation**	**₦'000**	**₦'000**
	Minimum tax	16,319	7,495
	Tertiary Education Tax	-	-
	Nigeria Police Fund Levy	-	-
	NITDA Levy	725	-
		17,044	7,495
	Over provision of prior years' tax	-	-
	Total current tax expenses	17,044	7,495
	Increase in deferred tax asset	-	-
	Income tax expense	17,044	7,495

Notes to the financial statements

Reconciliation of effective tax rate	31-Dec-23 ₦'000	31-Dec-22 ₦'000
Profit before tax	72,479	422,545
Tax calculated using the domestic corporation tax rate of 30%	21,744	126,764
Tax exempt income	(21,744)	(313,829)
Non-deductible expenses	-	185,069
Effect of minimum tax adjustment	16,319	5,244
Effect of Tertiary Education Tax	-	-
Effect of Nigeria Police Fund Levy	-	21
NITDA Levy	725	4,226
Income tax expense	17,044	7,495
Effective tax rate	24%	2%

23.1 Income tax liability

The movement in the current income tax liability is as follows:	31-Dec-23 ₦'000	31-Dec-22 ₦'000
At start of year	347,620	385,368
Tax paid	(36,949)	(45,243)
WHT Utilized	-	-
Charge for the year	17,044	7,495
Adjustment for prior year over provision	-	-
At end of year	327,715	347,620

24 Deferred tax assets

2023	**Assets**	**Liabilities**	**Net**
Property and equipment	47,969	47,899	70
Defined benefit scheme and other provisions	185,353	171,208	14,145
Unrealized exchange difference	178	-	178
	233,500	219,107	14,393
2022			
Property and equipment	47,969	47,899	70
Defined benefit scheme and other provisions	185,353	171,208	14,145
Unrealized exchange difference	178	-	178
	233,500	219,107	14,393

2023	**Net balance at 1 January** ₦'000	**Recognised in profit or loss** ₦'000	**Recognised in other comprehensive income** ₦'000	**Net balance at 31 December** ₦'000
Property and equipment	70	-	-	70
Defined benefit scheme	14,145	-	-	14,145
Unrealized exchange difference	178	-	-	178
Total	14,393	-	-	14,393

Notes to the financial statements

2022	Net balance at 1 January	Recognised in profit or loss	Recognised in other comprehensive income	Net balance at 31 December
	₦'000	₦'000	₦'000	₦'000
Property and equipment	70	-	-	70
Defined benefit scheme	14,145	-	-	14,145
Unrealized exchange difference	178	-	-	178
Total	14,393	-	-	14,393

Deferred tax assets falling due after more than 12 months is ₦14.39 million (2022: ₦14.39 million).

Deferred tax assets are recognised for tax losses and deductible temporary differences to the extent that the realisation of the related tax benefit through future taxable profits is probable. Unrecognised deferred tax assets arising from unused tax losses and deductible temporary differences was ₦3.47 billion (2022: ₦2.70 billion).

25 Retirement benefit assets

The Company operates a defined contribution and a defined benefit scheme for staff and directors.

Defined contribution plan

The defined contribution plan is operated in accordance with the Pension Reform Act ("The Act"). The employer contributes 10% while the employee contributes 8% of basic pay, housing and transport allowance. The employer's obligation is limited to the amount contributed in accordance with statutory requirements. The employer is not responsible for any loss in the value of the assets in the contribution plan. The Act requires employers to remit the deductions made in respect of pension within seven (7) days from payment of salary. The contributions are transferred to the chosen pension fund administrators of the employees. Amount due on defined contribution plan as at 31 December 2023 is ₦26.4 million (2022: ₦25.6 million).

Defined benefit scheme

The Company operates a funded defined benefit scheme for staff and directors.
The scheme relates wholly to active employees and directors. The scheme is funded by plan assets held with trustees in Nigeria. The plan assets comprise cash and cash equivalents.

The projected unit credit method was applied in determining the present value of the gratuity obligations.

		31-Dec-23	31-Dec-22
		₦'000	₦'000
Staff gratuity scheme	Note 25(a)	435,516	435,516
Directors gratuity scheme	Note 25(b)	31,529	31,529
		467,046	467,046

(a) Defined benefit scheme - Staff

The Company operates a defined benefit scheme for its staff. This is computed as 75% of annual basic salary plus the monthly housing and transport allowance multiplied by the number of years served with the Company. Only employees that have served the Company for 5 years and above are qualified to benefit from this scheme. The scheme has been discontinued by the Company.

	Present value of the obligation	Fair value of plan assets	Net amount
	₦'000	₦'000	₦'000
1 January 2022	101,972	(537,488)	(435,516)
Benefits paid	(48,045)	48,045	-
Contributions	-	-	-
31 December 2022	53,927	(489,443)	(435,516)

Notes to the financial statements

25 Retirement benefit assets (cont'd)

	Present value of the obligation	Fair value of plan assets	Net amount
	₦'000	₦'000	₦'000
1 January 2023	53,927	(489,443)	(435,516)
Benefits paid	(18,684)	18,684	(0)
Contributions	-	-	-
31 December 2023	35,243	(470,759)	(435,516)

(b) Defined benefit scheme - Directors

The Company also operates a defined benefit scheme for its directors. The defined benefit scheme for directors is computed as ₦5 million per annum for the chairman and managing director and ₦3 million per annum for other board members. The scheme has been discontinued by the Company.

	Present value of the obligation	Fair value of plan assets	Net amount
	₦'000	₦'000	₦'000
1 January 2022	69,804	(101,333)	(31,529)
Contributions: Employer	-	-	-
Benefits paid	(50,667)	50,667	-
31 December 2022	19,137	(50,666)	(31,529)

25 Retirement benefit assets (cont'd)

	Present value of the obligation	Fair value of plan assets	Net amount
	₦'000	₦'000	₦'000
1 January 2023	19,137	(50,666)	(31,529)
Contributions: Employer	-	-	-
Benefits paid:	-	-	-
31 December 2023	19,137	(50,666)	(31,529)

	31-Dec-23	31-Dec-22
26 Share capital	₦'000	₦'000
Authorized shares:		
500,000,000 ordinary shares of ₦1 each (2022: ₦500 million)	500,000	500,000
Issued and fully paid share capital:		
500,000,000 ordinary shares of ₦1 each (2022: ₦500 million)	500,000	500,000

27 Other components of equity

The nature and purpose of the reserves in equity are as follows:

i *Retained earnings:* Retained earnings comprise the undistributed profits from previous years, which have not been reclassified to the other reserves. The retained earnings are ₦1.93 billion (2022: ₦1.88 billion).

Notes to the financial statements

ii *Fair value reserve:* This relates to reserve from the valuation of the Company's equity investments.

Below is the movement in fair value reserves	31-Dec-23 ₦'000	31-Dec-22 ₦'000
At start of year	900,129	1,503,791
Fair value gain/(loss) on FVOCI investment securities	1,480,599	(603,662)
Equity movement on disposal of FVOCI investment securities	-	-
At end of year	2,380,727	900,129

Notes to the financial statements

28 Earnings/(loss) per share

Basic earnings/(loss) per share is calculated by dividing the net profit/(loss) attributable to equity holders of the Company by the weighted average number of ordinary shares in issue during the year.

Diluted earnings/(loss) per share is calculated by dividing the net profit/(loss) attributable to equity holders of the Company by the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

	31-Dec-23 ₦'000	31-Dec-22 ₦'000
Profit/(loss) attributable to equity holders of the Company	55,436	(265,188)
Number of shares in issue (units)	500,000	500,000
Earnings/(loss) per share - basic & diluted (₦)	0.11	(0.53)

The Company does not have dilutive potential ordinary shares as at 31 December 2023 (2022: nil).

29 Employees' and directors' information

(a) Employees' information

The number of persons employed by the Company in the financial year, including executive directors were:

	31-Dec-23 Number	31-Dec-22 Number
Number of persons employed during the period		
Management	7	7
Senior staff	82	54
Other staff	15	35
	104	96

Employees' emoluments	31-Dec-23 ₦'000	31-Dec-22 ₦'000
Salaries, wages and allowances	667,818	625,747
Other staff costs	7,198	9,305
Contributions to defined contribution plan	26,424	25,597
	701,441	660,649

The number of employees of the Company, other than directors, who received emoluments in the following ranges (excluding pension contributions) were:

	31-Dec-23 Number	31-Dec-22 Number
₦300,001 - ₦2,000,000	14	10
₦2,000,001 - ₦2,800,000	12	9
₦2,800,001 - ₦3,500,000	14	17
₦3,500,001 - ₦4,000,000	0	10
₦4,000,001 - ₦5,500,000	24	0
₦5,500,001 - ₦6,500,000	1	9
₦6,500,001 - ₦7,800,000	12	12
₦7,800,001 - ₦9,000,000	7	10
Above ₦9,000,001	20	19
	104	96

Notes to the financial statements

	31-Dec-23 ₦'000	31-Dec-22 ₦'000
(b) Directors' emoluments		
MD's compensation	63,005	63,005
Fees and sitting allowances	11,900	15,650
Directors' other expenses	99,742	98,524
	174,647	177,179

The directors' emoluments shown above (excluding pension contributions and other allowances) include:

	31-Dec-23 ₦'000	31-Dec-22 ₦'000
Chairman	22,295	22,803
Highest paid director	63,005	63,005

The number of directors who received fees and other emoluments (excluding pension contributions) in the following ranges were:

	31-Dec-23 Number	31-Dec-22 Number
₦1,000,000 - ₦10,000,000	-	1
₦10,000,001 - ₦20,000,000	5	-
₦20,000,001 - ₦30,000,000	-	3
Above ₦30,000,000	-	1

30 Guarantees and other financial commitments

a) *Litigations and claims*

The Company in the ordinary course of business is presently involved in 4 (2022: 5) litigation cases with total claim of ₦339.8 million (2022: ₦339.8million). There were no other contingent liabilities against the Company at the reporting date (2022: nil).

b) *Capital commitments:*

There were no capital commitments as at 31 December 2023 (2022: nil).

c) *Financial commitments:*

The directors are of the opinion that all known liabilities and commitments have been taken into consideration in the preparation of the accounts.

Notes to the financial statements

31 Related parties

(a) Parties are considered to be related if one party has the ability to control the other party or exercise influence over the other party in making financial and operational decisions, or another party controls both. The definition includes subsidiaries, associates, joint ventures and the Group's pension schemes, as well as key management personnel.

The Company is controlled by Archavia Limited, which owns 75% of the Company's shares. The remaining 25% of the shares are held by various individuals and organisations.

(b) Transactions with parent company

The Company made payments of ₦241.8 million to the parent company, Archavia Limited as management fees during the year (2022: ₦243.1 million).

	31-Dec-23	31-Dec-22
	₦'000	₦'000
Professional and advisory services (Archavia Limited)	241,800	243,058

(c) Key management personnel

Key management personnel have been defined as directors of the Company.

Key management compensation	31-Dec-23	31-Dec-22
	₦'000	₦'000
MD's compensation	63,005	63,005
Fees and sitting allowances	11,900	15,650
Directors' other expenses	99,742	98,524
	174,647	177,179

(d) Loans and advances to key management personnel*:

	31-Dec-23	31-Dec-22
	₦'000	₦'000
Outstanding loan balance*	3,764	5,221
Interest income	75	104

* This relates to secured mortgage loan issued for a tenor of 20 years at contractual rate of 2% per annum.

32 Comparatives

Except when a standard or an interpretation permits or requires otherwise, all amounts are reported or disclosed with comparative information. Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year.

33 Events after statement of financial position date

On 05 March 2024 and 16 March 2024, the Company received payments amounting to ₦150 million Naira and ₦250 million Naira respectfully, from HOGL Energy Limited, being repayments of the outstanding loan amount (unsecured bridge finance facility granted to Honeywell Oil and Gas Limited) of ₦458 million Naira.

There are no other events that could have a material effect on the Company's state of affairs as of 31 December 2024 that have not been adequately provided for in the financial statements.

Other national disclosures

Value added statement

	31-Dec-23 ₦'000	%	31-Dec-22 ₦'000	%
Revenue from contracts with customers	269,825	27	421,646	72
Interest income	806,744	79	752,923	129
Other income	1,031,253	101	405,657	69
	2,107,822	207	1,580,226	271
Interest expense	(1,218)	(0)	(1,950)	(0)
Impairment on financial assets	33,298	4	33,093	6
Brought in goods and services - local	(1,122,256)	(110)	(1,027,177)	(176)
Value added	**1,017,646**	**100**	**584,192**	**100**
Distribution of value added				
To employees				
- Staff costs	764,445	75	723,654	124
To the Government				
- Income tax	17,044	2	7,495	1
Retained in the business				
- Depreciation & amortisation	180,722	18	118,231	20
- Transfer to reserves	55,436	5	(265,188)	(45)
Value added	**1,017,646**	**100**	**584,192**	**100**

This statement shows the distribution of the wealth created by the Company through its own and employees' efforts, and the allocation of that wealth among employees, government and that retained for future creation of more wealth.

Five-year financial summary

STATEMENT OF FINANCIAL POSITION

	Note	31-Dec-23 ₦'000	31-Dec-22 ₦'000	31-Dec-21 ₦'000	31-Dec-20 ₦'000	31-Dec-19 ₦'000
Assets						
Cash and bank balances	11	578,196	1,923,077	3,925,065	265,543	477,997
Placements with financial institutions	12	3,183,548	3,897,685	3,580,327	9,351,867	192,315
Loans and other receivable	14	606,387	647,968	652,672	699,184	690,246
Investment securities	13	4,972,979	5,465,797	6,177,689	5,869,056	11,498,413
Other assets	15	642,974	546,986	511,734	777,130	286,843
Investment in associate	16	-	-	-	-	1,871,602
Intangible assets	17	36,208	38,170	46,094	12,151	37,969
Property and equipment	18	2,418,735	2,078,166	1,950,263	1,928,175	1,960,794
Right-of-use assets	18 (a)	13,615	20,227	31,464	30,273	41,081
Asset held for sale	20	556,264	548,764	548,764	548,764	548,764
Retirement benefit assets	25	467,046	467,046	467,046	467,046	474,342
Deferred tax assets	19	14,393	14,393	14,393	14,393	14,393
Total assets		**13,490,346**	**15,648,279**	**17,905,509**	**19,963,582**	**18,094,759**
Liabilities						
Funds awaiting remittance	21	6,769,677	9,231,797	10,369,795	12,053,147	11,855,907
Lease liabilities	18 (b)	7,569	6,351	16,261	10,283	46,713
Other liabilities	22	504,437	1,765,300	1,745,030	1,832,115	1,806,155
Provisions for litigations and claims	23	1,068,520	1,020,818	973,116	925,415	954,289
Income tax liability	24	327,715	347,620	385,368	398,438	376,058
Total liabilities		**8,677,918**	**12,371,886**	**13,489,570**	**15,219,398**	**15,039,122**
Shareholders' equity						
Share capital	23	500,000	500,000	500,000	500,000	500,000
Fair value reserves		2,380,729	900,130	1,503,792	1,045,091	600,037
Retained earnings		1,931,699	1,876,263	2,412,147	3,199,093	1,955,600
Total shareholders' equity		**4,812,428**	**3,276,393**	**4,415,939**	**4,744,184**	**3,055,637**
Total liabilities and shareholders' equity		**13,490,346**	**15,648,279**	**17,905,509**	**19,963,582**	**18,094,759**

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

	31-Dec-23 ₦'000	31-Dec-22 ₦'000	31-Dec-21 ₦'000	31-Dec-20 ₦'000	31-Dec-19 ₦'000
Gross earnings	2,107,822	1,580,227	2,345,873	3,292,071	2,804,029
Profit/(loss) before tax	72,479	(257,693)	422,545	1,437,431	454,613
Tax	(17,044)	(7,495)	(9,491)	(43,938)	(43,866)
Profit/(loss) after tax	55,436	(265,188)	413,054	1,393,493	410,747
Other comprehensive (loss)/income	1,480,599	(603,662)	458,700	445,054	(461,162)
Total comprehensive (loss)/income	1,536,034	(868,850)	871,753	1,838,547	(50,415)
Earnings/(loss) per share - basic & diluted (₦)	**0.11**	**(0.53)**	**0.83**	**2.79**	**0.82**